



The World Bank

Second Accelerating India's COVID-19 Social Protection Response (PMGKY) (P174027)

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INTERNATIONAL DEVELOPMENT ASSOCIATION

PROGRAM DOCUMENT FOR

A PROPOSED CONCESSIONAL CREDIT
IN THE AMOUNT OF SDR 77.0 MILLION (US\$108.6 MILLION EQUIVALENT)

AND A PROPOSED NON-CONCESSIONAL CREDIT
IN THE AMOUNT OF US\$291.4 MILLION

TO

REPUBLIC OF INDIA
FOR THE

Second Accelerating India's COVID-19 Social Protection Response (PMGKY)
Development Policy Operation (DPO)
November 13, 2020

Social Protection & Jobs Global Practice
South Asia Region

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(India)

Republic of India

GOVERNMENT FISCAL YEAR

April 1 –March 31

CURRENCY EQUIVALENTS

(Exchange Rate Effective as of October 26,2020)

74 Indian Rupees (INR)= US\$1.00

ABBREVIATIONS AND ACRONYMS

ADB	Asian Development Bank	MHA	Ministry of Home Affairs
AFD	Agence Francaise de Developpement	MIS	Management Information System
APY	Atal Pension Yojana	MOF	Ministry of Finance
BC	Business Correspondent	MTEF	Medium-Term Expenditure Framework
CAG	Comptroller and Auditor General of India	NDMA	National Disaster Management Authority
CCT	Conditional Cash Transfers	NFSA	National Food Security Act
CMIE	Center for Monitoring the Indian Economy	NIPFP	National Institute of Public Finance and Policy
COVID-19	Coronavirus Disease 2019	NPA	Non-performing Assets
CPF	Country Partnership Framework	NSAP	National Social Assistance Program
CPGRAMS	Centralized Public Grievance Redress and Monitoring System	PDS	Public Distribution System
DBT	Direct Benefit Transfer	PEFA	Public Expenditure and Financial Assessment
DFS	Department of Financial Services	PER	Public Expenditure Review
EPFO	Employees' Provident Fund Organisation	PFMS	Public Financial Management System
EPF	Employee Provident Fund	PMGKAY	Pradhan Mantri Garib Kalyan Ann Yojana
FPS	Fair Price Shops	PMGKY	Pradhan Mantri Garib Kalyan Yojana
FRBM	Fiscal Responsibility and Budget Management Act	PMJDY	Pradhan Mantri Jan Dhan Yojana
GDP	Gross Domestic Product	PMJJBY	Pradhan Mantri Jeevan Jyoti Bima Yojana
GFS	Government Finance Statistics	PM-KSN	Pradhan Mantri-Kisan Samman Nidhi
GNP	Gross National Product	PMSBY	Pradhan Mantri Suraksha Bima Yojana
GOI	Government of India	PMUY	Pradhan Mantri Ujjwala Yojana

GRS	Grievance Redress Service	SCD	Systematic Country Diagnostic
IBRD	International Bank for Reconstruction and Development	SDR	Special Drawing Rights
IDA	International Development Association	SDRF	State Disaster Response Funds
IFC	International Finance Corporation	SFC	State Food Corporations
IMF	International Monetary Fund	SP	Social Protection
JBSY	Janani Baal Suraksha Yojana	TPDS	Targeted Public Distribution System
KfW	Kreditanstalt Fur Wiederaufbau	UCCT	Unconditional Cash Transfer
LDP	Letter of Development Policy	UT	Union Territory
MAPS	Methodology for Assessing Public Procurement Systems	WB	World Bank
MGNREGS	Mahatma Gandhi National Rural Employment Guarantee Scheme	WBG	World Bank Group

Regional Vice President: Hartwig Schafer
 Country Director: Junaid Kamal Ahmad
 Regional Director: Lynne D. Sherburne-Benz
 Practice Manager: Stefano Paternostro
 Task Team Leaders: Qaiser M. Khan, Shrayana Bhattacharya



REPUBLIC OF INDIA

SECOND ACCELERATING INDIA'S COVID-19 SOCIAL PROTECTION RESPONSE (PMGKY)

TABLE OF CONTENTS

SUMMARY OF PROPOSED FINANCING AND PROGRAM	2
1. INTRODUCTION AND COUNTRY CONTEXT	4
2. MACROECONOMIC POLICY FRAMEWORK.....	14
2.1. RECENT ECONOMIC DEVELOPMENTS.....	14
2.2. MACROECONOMIC OUTLOOK AND DEBT SUSTAINABILITY	16
2.3. IMF RELATIONS	22
3. GOVERNMENT PROGRAM	23
4. PROPOSED OPERATION	24
4.1. LINK TO GOVERNMENT PROGRAM AND OPERATION DESCRIPTION	24
4.2. PRIOR ACTIONS, RESULTS AND ANALYTICAL UNDERPINNINGS	24
4.3. LINK TO CPF, OTHER BANK OPERATIONS AND THE WBG STRATEGY	37
4.4. CONSULTATIONS AND COLLABORATION WITH DEVELOPMENT PARTNERS	38
5. OTHER DESIGN AND APPRAISAL ISSUES	38
5.1. POVERTY AND SOCIAL IMPACT	38
5.2. ENVIRONMENTAL, FORESTS, AND OTHER NATURAL RESOURCE ASPECTS	40
5.3. PFM, DISBURSEMENT AND AUDITING ASPECTS.....	41
5.4. MONITORING, EVALUATION AND ACCOUNTABILITY	43
6. SUMMARY OF RISKS AND MITIGATION	44
ANNEX 1: POLICY AND RESULTS MATRIX	47
ANNEX 2: FUND RELATIONS ANNEX	53
ANNEX 3: LETTER OF DEVELOPMENT POLICY.....	55
ANNEX 4: ENVIRONMENT AND POVERTY/SOCIAL ANALYSIS TABLE	56
ANNEX 5: CLIMATE CO-BENEFITS	60

The Second Accelerating India's COVID-19 Social Protection Response (PMGKY) was prepared by a team led by Shrayana Bhattacharya and Qaiser Khan and including Ambrish Shahi, Mehul Jain, Anup Karanth, Ornsaran Pomme Manuamorn, Sutirtha Sinha Roy, Sheena Arora, Rocio Malpica, Helene Bertaud, Ritu Sharma, Toni Koleva, Aurelien Kruse, , Anindo Chatterjee, Philip O Keefe, Camilla Holmemo, Victor Ordonez, Manoj Jain, Deepak Singh, Krishna Raj and Satyanarayan Panda.



SUMMARY OF PROPOSED FINANCING AND PROGRAM

BASIC INFORMATION

Project ID	Programmatic	If programmatic, position in series
P174027	Yes	2nd in a series of 2

Proposed Development Objective(s)

The proposed operation is the second of a series of two to strengthen the capability of state and national governments in India to provide coordinated and adequate social protection to the poor and vulnerable from the shocks triggered by the COVID-19 pandemic

Organizations

Borrower: REPUBLIC OF INDIA

Implementing Agency: MINISTRY OF FINANCE DEPARTMENT OF ECONOMIC AFFAIRS

PROJECT FINANCING DATA (US\$, Millions)

SUMMARY

Total Financing	400.00
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DETAILS

International Development Association (IDA)	400.00
IDA Credit	400.00

INSTITUTIONAL DATA

Climate Change and Disaster Screening

This operation has been screened for short and long-term climate change and disaster risks

Overall Risk Rating

Substantial



Results

Indicator Name	Baseline	Target
Adequacy of benefits provided through the COVID-19 Social Protection Support Program measured by Pradhan Mantri Garib Kalyan Yojana (PMGKY) transfers as a percent share of total household consumption expenditures for the poorest quintile in India.	0(2020)	40% (2022)
Coverage of benefits provided through the COVID-19 Social Protection Support Program measured by share of bottom 40 percent (consumption percentiles) receiving at least one PMGKY social assistance (food/cash) benefit.	0 (2020) ¹	60% (2022)
Gender-sensitive program coverage measured by share of female-headed households in bottom 40 percent (consumption percentiles) receiving at least one PMGKY social assistance (food/cash) benefit.	0(2020)	70% (2022)
Access to health insurance measures provided through the COVID-19 Social Protection Program measured by percentage share of essential service workers covered by the Special Health Insurance Scheme.	0 (2020)	15% (2022)
Access to support provided through the COVID-19 Social Protection Program for informal workers measured by percentage share of informal workers receiving at least one social protection benefit.	10% (2020)	33% (2022)
Gender-sensitive program coverage measured by proportion of female informal workers in total beneficiary pool of social protection in India	NA (2020)	40% (2022)
Migrant-neutrality of India's social protection system measured as the percentage of states implementing 'One-Nation-One-Ration' for portable PDS access	0 (2020)	40% (2022)
Percentage of households in bottom 40 percent (consumption percentiles) in urban areas covered by at least one social protection benefit.	15% (2020)	33% (2022)
Timeliness of cash-transfers provided through the COVID-19 Social Protection Program measured by percentage of bottom 40 percent households who have received at least one PMGKY benefit within eight-week period of program announcement.	0 (2020)	50% (2021)
Improved regulatory capacity to preserve groundwater	No pre-existing groundwater policy with water user fees (2020)	Codification of groundwater policy with water user fees concept through government rules to state. (2022)
Increase in the cumulative renewable power installed capacity in order to meet India's NDC targets, retain India's global position on wind and solar power and increase employment through renewable energy projects.	85.90 GW (Dec 2019)	172 GW (Dec 2022)

¹ Zero implies that prior to the announcement of the PMGKY package, the poor and vulnerable groups were not receiving any additional entitlements to cope with COVID-19 shocks.



1. INTRODUCTION AND COUNTRY CONTEXT

1. **The proposed operation aims to support India's response and recovery from the devastating economic impacts of the Coronavirus Disease 2019 (COVID-19) pandemic, with emphasis on accelerating social assistance through adequate safety nets for the poor and vulnerable.** This is the second Development Policy Operation in a programmatic series of two operations (for Fiscal Years 2020 and 2021, with an allocation of US\$750 million and US\$400 million respectively). The design draws on lessons from DPO1 and the World Bank's deep country knowledge on social protection in India, gained through technical assistance and analytics over the recent years. The approach is consistent with the recent WBG COVID-19 strategy to 'build back better' and the India Country Partnership Framework's focus on building modern *systems* of social protection, supporting India to shift away from fragmented *schemes*, and better helping the poor and vulnerable weather future shocks and enhance their resilience. Through reforms which improve coordination and capacity of government agencies for social protection delivery, the program aims to expand coverage of benefits amongst key vulnerable groups –informal workers, migrants, households in COVID-19 hotspots, regions vulnerable to climate shocks and the urban poor.

2. **The program utilizes cancelled IDA and crowds in financing and support from bilateral and multilateral agencies.** The COVID-19 crisis has triggered a coordinated mobilization of development partners in support of the Government of India's response. This includes parallel financing of 400 million Euros from Agence Francaise de Developpement (AFD) and 460 million Euros from the German Kreditanstalt Fur Wiederaufbau (KfW). JICA is providing 3 billion yen following the same policy actions as DPO 2. This is in addition to US\$1 billion parallel financing from the Asian Development Bank (ADB) to the social protection response of GOI. The ADB funds follow the broad contours of the matrix but their disbursements are not linked directly to the matrix. ADB will provide additional funding based on this proposed social protection program during their next fiscal year which starts January 1, 2021.

3. **DPO2 deepens the first development policy operation to help India build a modern and adaptive social protection system.** The first DPO in the series supported scale-up of pre-existing safety nets to provide emergency relief during the lockdown period through a national government program Pradhan Mantri Garib Kalyan Yojana (see Box 1). Nearly 84% of India's poorest households received social assistance through reforms supported by DPO1. However, half of India's migrants and urban informal workers were unable to access cash benefits. Between DPO1 and DPO2, India's COVID-19 burden has accelerated rapidly. The country reports the second largest number of cases in the world in October 2020. While the economy has 'unlocked' steadily since June 2020, households in disease hot-spots continue to need additional support due to prolonged containment measures. The second DPO addresses these gaps and supports additional reforms which not only support the provision of emergency support in hot-spots but moves India's fragmented social protection schemes towards an integrated and adaptive system, and starts to tackle many of the existing fault lines in the current system around inclusion of migrants, climate-linked disasters, workers in the informal sector, and last-mile delivery challenges.

4. **The operation is based on Government of India's overall strategy to fight COVID-19 through three phases.** In the first phase, the Government of India (GoI) intervened to tackle the health aspects, the Bank partnered with India through a US\$ 1 billion health project. In the second phase, GoI invested US\$ 23 billion in an extraordinary social protection program to bridge the poor and vulnerable communities through the lock down period. The Bank partnered with a Development Policy Financing program of US\$ 1.15 billion. Following support for social protection measures, a third phase of the government's COVID-19 strategy comprised of a US \$ 750 million program which provided economic



support to micro, small, and medium enterprises and their workers to support them through the lockdown period as part of an economic stimulus. *Taken together, India's three-pronged strategy aims at ensuring that tackling COVID-19 does not lead to a stark policy choice between lives and livelihoods, thereby forging an approach that seeks to protect both.* Details on the broader Indian government and WBG COVID-19 response are in paragraph 19 to 22.

Box 1 : India's Effort to Protect the Vulnerable from COVID-19 Lockdown

Following the WHO declaration of a global pandemic on March 11, 2020 the national government declared a COVID emergency on March 14, 2020 and decided to implement what was initially a 21-day national lockdown (later extended to 42 days) on March 21, 2020. Recognizing that the national lockdown would severely impact the poor and the vulnerable, the national government launched an important and ambitious social protection initiative called the Pradhan Mantri Garib Kalyan Yojana (PMGKY).

The PMGKY program is not a new scheme, rather an integrated package scaling up cash and food assistance through pre-existing programs which have large outreach and strong delivery mechanisms: The PMGKY package costs the Government approximately USD 23 billion. It uses India's well-developed Direct Benefit Transfer (DBT) system to transfer benefits directly to the bank accounts of beneficiaries from the treasury, thereby ensuring timely payments to those in need. The identification of beneficiaries relies on India's near-universal programs, supplemented by digitized Socio-Economic Census data, state level databases and the Aadhaar digital ID network.

The reform program provides near-universal and robust support till November 2020; measures may be expanded in specific states or clusters depending on how the COVID-19 crisis evolves: The government scaled up benefits for COVID-19 relief for a three-month period only. Following these three months, the next phase of emergency social protection support will be geographically targeted to regions and sectors where lockdowns continue. The social protection program will work in tandem with health surveillance efforts, targeting hot spot districts and clusters. For a three-month period, PMGKY delivered cash transfers to 320 million beneficiary bank accounts (30% of India's population). To ensure supply of food and fuel through the national lockdown, the program provided additional food rations to 234 million households, covering nearly 90% of India; and LPG gas cylinders to 80 million households. The total transfer size is approximately USD 44 per month, nearly 68% of the Indian rural poverty line and 47% of the average monthly consumption expenditure of the poorest quintile of households in India. The program also topped-up government contributions to social insurance funds (EPFO) for low-wage workers in small and medium enterprises and provides portable in-kind and cash support to migrants through a sub-national umbrella disaster fund.

DPO2 supports systems and process reforms which address exclusion in the Indian government program for emergency social protection (PMGKY) : Early evidence from the first phase of the DPO and PMGKY suggests cash delivery needs to be bolstered, with focus on urban areas, informal workers and the unidentified poor. Between May and August 2020, 84% of India's bottom 40 percent households (based on consumption measures) received at least one benefit under the PMGKY. 78 and 66 percent of rural and urban households respectively received food benefits. While food transfers are progressive – 77.5 percent of households in the bottom 40 received additional food grains -- cash delivery remains challenging. Within cash programs, transfers into PMJDY bank accounts reached the most families—thereby ensuring women were primary beneficiaries of cash through PMGKY. 72% of women with PMJDY accounts received the due transfer. As per the World Bank post lockdown survey data, which will be further validated with administrative data, registration in program databases remains a chief constraint in accessing cash – 47 percent of poor households are not enrolled or identified within the beneficiary pool of any of the cash-transfer programs under PMGKY –highlighting the rationale for additional reforms supported through DPO2 to address exclusion gaps. PMGKY reached socially vulnerable groups --75 per cent of female-headed households received food ration benefits. Similarly, at least seven out of ten tribal households received food benefits.

5. **This operation draws upon the World Bank's global and Indian experience on social protection and community-driven development to help the Government of India link the emergency COVID-19 response with a broader social protection and resilience agenda.** As described in detail within the DPO1 document, the Bank team has worked closely



with national and state authorities to understand the strengths and lacuna of existing social protection programs in India through partnerships and NLTA with multiple state governments, national DBT Mission, academics, CBOs and Indian think-tanks. While the financial contribution of the World Bank to the Government Program is small, the operation aims to leverage this deep country knowledge to invest in strategic shifts in India's social protection architecture. In triggering a social protection response program for COVID-19, India has relied on in-kind support and cash transfers through its various schemes and platforms. By doing so, the country is leveraging different mechanisms of service delivery including piggy-backing on state government systems in the context of federal India, large rural safety nets, food distribution outlets, community organizations and self-help groups, and bank accounts linked to the unique Aadhar system. This operation supports such an approach while adding to the program in three different ways: (i) Fostering institutional reforms which move India's social security protocols from scheme-based fragmentation towards an integrated approach through a consolidated National Social Security Board, blending multiple instruments to provide a fast and flexible social protection response, and reducing administrative duplication and inefficiencies (ii) Building an adaptive social protection system through use of the government's disaster response funds which can quickly provide support to excluded groups and cater to the diversity of social protection requirements and delivery needs across states and communities, not only for COVID-19 but also for any future natural disaster/crisis (iii) Creating a portable social protection platform in India to ensure food, social insurance and cash-support for migrants across state boundaries.

6. **India's public health response to the COVID-19 pandemic comprises a strong focus on social distancing.** This resulted in one of the largest lockdowns in the world, unparalleled in human history. The extraordinary public health measures taken by national and state governments in India to counter the spread of the COVID-19 pandemic – from social distancing, restricting economic activities, curtailing the movement of people and goods through a complete lockdown impacting 1.3 billion persons– have resulted in supply and demand shocks in the economy. In the first quarter of 2021 (starting April 1st), economic growth contracted by an unprecedented 23.9 percent, while industrial and services output fell by 38 and 21 percent respectively. The poverty and social impacts in India from such contraction shall be particularly sharp given that the workforce is predominantly informal and there were concerns of an economic slowdown prior to COVID-19.

7. **Although India has made remarkable progress in reducing absolute poverty, the COVID-19 outbreak has reversed the course of poverty reduction.** Between 2011-12 and 2016-2017, India's poverty rate is estimated to have declined from 22.5 percent to values ranging from 8.1 to 11.3 percent. Recent projections of GDP per capita growth rate indicate that as result of the pandemic, poverty rates in 2020 have likely reverted to estimated levels in 2016. The extent of vulnerability is reflected in labor market indicators from high frequency surveys being implemented in India. 43 percent of those employed in December 2019 were either unemployed or were looking for jobs by April 2020 (the first full month of India's lockdown). Survey data shows that urban households are facing greater vulnerabilities: between September-December, 2019 and May-August 2020, the proportion of people working in urban and rural areas has fallen by 4.2 and 3.8 percentage points respectively. Labor market recovery is contingent on whether these temporarily unemployed workers can fully re-enter the labor force. Overall, the pandemic is estimated to have raised urban poverty, creating a set of 'new-poor' that are likely to be engaged in non-farm sectors and who have typically received at least secondary or tertiary education, as compared to existing poorer households who are predominantly rural with lower levels of education. Data from a private-sector job portal in India shows that employers are posting fewer entry level job and demanding higher educational requirements. New vacancies in female-dominated industries and occupations have also been significantly curtailed. This indicates that the COVID-19 pandemic has exacerbated the vulnerabilities for traditionally excluded groups, such as youth and women.

8. **Labor market informality further constrains the ability of Indian households to cope and recover from**



livelihood shocks triggered by COVID-19 lockdowns. Ninety percent of the Indian workforce is informal, without access to significant savings or work-place based social protection benefits such as paid sick leave or social insurance. The latest Indian Periodic Labor Force Survey (2017-18) finds that only 47% of urban workers have regular, salaried jobs. Even among workers in formal employment, over 70% do not have contracts, 54% are not entitled to paid sick leave and 49% do not have any form of social security benefits. Post-lockdown CMIE survey results show that a third of the formal workforce interviewed in December 2019 had lost their jobs by April 2020, compared to 44 percent of the informal workforce. Moreover, 31 percent of those formally employed in December 2019 had slid into informal sector jobs in April 2020. Post-lockdown data from CMIE shows that nearly 17 million women -- four out of ten working women--have lost jobs, largely in the informal sector. These workers risk falling into poverty due to wage and livelihood losses triggered by shrinking economic activity. However, given the continent-like size and heterogeneity in India, these Labor market implications are manifesting differently at the sub-national levels, depending on local economies and socio-demographic profiles. Responses to the pandemic will require sustained and comprehensive solutions anchored by national and sub-national governments, blending active participation from households, communities, front-line bureaucracies (district, block and Panchayat administration), civil society organizations and the private sector.

9. **In India, inter-state migrants are at acute risk of increased poverty and destitution.** Seasonal migrants dominate low-paying, hazardous and informal market jobs in key sectors in urban areas, such as construction. Estimates from the Economic Survey highlight that the magnitude of inter-state labor migration in India was close to 9 million annually between 2011 and 2016. The Government of India has recently disclosed that close to 10.5 million migrants returned to their home states during the lockdown period². Analysis of CMIE's household surveys show that 13.2 percent of migrants in 2019 who were reinterviewed in 2020 had returned back to their households in the first eight months of 2020. Migrant remittances are vital for lower-income Indian states. For example, studies show that in Bihar, remittances accounted for 35.6 percent of gross state domestic product (GSDP) in 2011–12. COVID-19 cases have largely been concentrated in high-income migrant destination states such as Delhi, Kerala, Tamil Nadu and Maharashtra. Media reports and civil society groups are highlighting how migrants relying on ad-hoc construction or service jobs in these states have been displaced due to the lockdown. Lack of portability in social protection benefits across state boundaries exacerbates the risks faced by migrants. With unemployment increasing, and decline in earnings and remittances, inter-state migrant workers will need targeted support.

10. **As India implements its macro-fiscal stimulus to support firms and stabilize the economy, social protection is a critical bridge which can help carry vulnerable households through the current and future crises.** As economic impacts of the COVID-19 pandemic sharpen, timely and adequate social protection measures can help cushion shocks and prevent further destitution. Following the COVID-19 pandemic, nearly 126 countries have scaled-up coverage and benefits for social protection programs. Evidence shows that timely delivery of social assistance support can forestall losses and protect the poor. In particular, direct cash transfers to households can serve as an important stimulus for economic stability following COVID-19 outbreak, especially if these are targeted to informal and lower-income households who will face disproportionate troubles. Cash transfers can supplement household coping strategies as income support, help workers out of work who fall sick, or help them access essential goods.

11. **In response to the urgent social protection needs resulting from the COVID-19 pandemic, the Indian government has announced the Pradhan Mantri Garib Kalyan Yojana (PMGKY), which provides a package of cash and in-kind social assistance to protect poor and vulnerable households.** These measures cost the Government 170,000 crore INR (approximately USD 23 billion), nearly 0.9% of GDP at current prices, demonstrating the Government's strong

² <http://164.100.24.220/loksabhaquestions/annex/174/AU197.pdf>



commitment to ensure that the poor and displaced are protected during this massive economic turmoil. In-kind benefits for food are being delivered to all poor and vulnerable households identified by the Targeted Public Distribution System (TPDS) using pre-existing channels of Fair Price Shops (FPS) across the country, maintaining social distancing norms. Cash transfers were made directly into the bank accounts of beneficiaries identified by five of the country's largest cash-transfer programs, thereby ensuring timely payments to those in need. The identification of beneficiaries and bank accounts relies on India's near-universal benefit transfer and financial inclusion programs, supplemented by the Aadhaar digital ID network. Self-help groups, local governments, postal workers and district administration are being leveraged by state governments as the front-line for providing food security, delivery of benefits, awareness generation and tackling needs of excluded groups such as migrants. More details are provided in Section 3 on the Government Program.

12. The Program Development Objective of the proposed operation is to strengthen the capability of state and national governments in India to provide coordinated and adequate social protection to the poor and vulnerable from the impacts of the COVID-19 pandemic. In this context, "Capability" implies organizational guidelines, systems and institutional/legal mechanisms which allow government agencies to respond to demands for social protection to ensure strong coverage of the vulnerable. "Coordinated" means fostering an integrated institutional framework to implement a whole-of-society and whole-of-government approach for social protection and resilience, whereby pre-existing programs and platforms are leveraged by engaging all tiers of government including community groups. The program also aims to ensure an "adequate" package of social protection, meaning that the size of the benefits transferred should compensate for losses in consumption expenditures and prevent households from falling below the poverty line. The program will accelerate the delivery of social assistance announced under the PMGKY package at the state and national level through three pillars: (i) Accelerating the provision of adequate social protection for the poor and vulnerable by scaling up cash/in-kind assistance through pre-existing national platforms and programs (safety nets, e-payments architecture, self-help groups and disaster management protocols); (ii) Providing robust social protection for essential workers involved in COVID-19 relief efforts; and (iii) Ensuring vulnerable groups have access to PMGKY benefits through reform measures aimed at expanding points of last-mile delivery. The third pillar is critical to ensure migrants and informal workers - at risk of exclusion - can avail of social protection at this time of crisis. A fourth pillar adheres to India CMU norms to support important climate actions through national DPOs.

13. Building resilience of households and communities against the impacts of COVID-19 will require two phases of social protection reform. As the pandemic evolves, a blend of different types of instruments will be needed. In the short term, poor and vulnerable households will need protective instruments which can provide ex-post relief through immediate cash or in-kind assistance. To ensure speed and scale, leveraging decentralization and pre-existing programs will be key. Further, direct in-kind provisioning of essential food and fuel supplies will become important as supply chains maybe disrupted and social distancing protocols may constrain the ability of households to purchase goods and services. Simultaneously social protection for informal workers, particularly for those engaged in essential services, needs to be augmented by coverage under preventive instruments for ex-ante risk coping through social insurance (for life, health and accidents). In the medium-term, as the government embarks on geographically targeted containment measures based on the spatial concentration of COVID-19 cases, the duration and impacts of the crisis will vary across states and districts. This will require deeper institutional reforms to enable a geographically diverse approach for social protection. The national government will need to empower state governments with finances and support to blend the use of safety nets, self-help groups, local governments and other innovations to provide fast, flexible and context-specific measures, with additional support for hot-spot districts and clusters. For long run recovery, as lockdown measures are relaxed and community-driven approaches become scaleable, safety nets and social insurance will need to be complemented by promotional interventions to rebuild livelihoods and jobs. Table 1 outlines a sequence of reforms proposed by the programmatic series, and draws links between COVID-19 emergency measures and broader medium-term institutional



reforms.

Table 1: Sequencing of COVID-19 Social Protection Interventions and Reforms

Emergency COVID-19 Reforms (April-July 2020)	Medium Term SP Reforms (July-Nov 2020)
Scaling-up a core set of pre-existing food/cash programs announced through PMGKY for immediate COVID-19 relief	PMGKY will trigger a fundamental shift in the social protection system from scheme-based silos towards a more coordinated approach engaging key departments and state governments anchored by Ministries of Finance, Home Affairs and Labour
By notifying COVID-19 pandemic as a 'disaster', the national government enables state governments to access funds from the State Disaster Response Funds (SDRF) to implement and deliver COVID-19 relief	The use of SDRF will trigger an adaptive social protection system in India. This will be operationalized through a social protection window in the current disaster management system, enabling states to use monies in SDRF to deliver context-specific packages of social assistance for COVID-19 and future disasters.
Provide access to portable food and in-kind benefits to migrant workers through state machinery and State Disaster Response Funds	The One-Nation-One-Ration agenda and amendments to national Labor Codes (which regulate how social protection is designed and eligibility rules are defined by states/line agencies) have triggered a codified policy framework defining how the national government and states finance and coordinate package of benefits (food and social insurance) for migrants across state boundaries. This will remedy current program architecture where only state residents receive benefits from programs.
Door-step delivery of information/cash/in-kind relief by states leveraging post offices, fair price shops and community-based machinery	The UMANG platform builds state level government capacities to implement digitized payments which can leverage online information alerts, community-based organizations and front-line workers to improve last-mile delivery of cash in areas with weak financial access.
Quasi-income support measures through welfare funds and EPFO to provide informal workers COVID-19 relief	At present, India has a large share of cash transfer programs operating at scale in rural India. Through the new Affordable Rental Housing Platform (for urban poor) and National Social Security Board (for consolidated social insurance and cash transfers to informal workers) , India will rebalance its rural focused safety net towards urban areas and expand use of social insurance by (i) Campaign to expand coverage to informal workers by leveraging linkages between Aadhaar, PDS and PMJDY (ii) Triggering a strong co-contributory urban safety nets platform to complement rural programs.

14. **The COVID-19 pandemic is highlighting the structural deficiencies in India's social protection system, which is fragmented and functions largely through scheme-based silos.** Historically, India has provided social protection through a large and complex set of centrally sponsored schemes. These schemes are financed by the center and implemented by state governments. They include large-scale community-driven livelihoods programs (National Urban and Rural Livelihoods Mission), Panchayati Raj institutions, self-help group initiatives, financial inclusion programs, safety nets, subsidies, public works, social pensions, quasi-income support and social insurance schemes. In addition, digital innovations for cash delivery and beneficiary identification also function as independent schemes under the purview of discrete line ministries. Ideally, these schemes can serve as building blocks of an integrated system where the whole is greater than the sum of its parts. For example, self-help groups can help last-mile delivery of social assistance in concert



with technology innovations. However, there is no overarching institutional framework for coordinating these multiple scheme-based mechanisms. Faced with the COVID-19 crisis, the Government of India's PMGKY has helped build an implementation framework whereby multiple schemes work together through leadership anchored by the Government of India. Such an approach can transform social protection in India from scheme-based silos towards an integrated system. The reforms supported through DPO series will help India coordinate six existing schemes and multiple Labor welfare programs—accounting for about 78 percent of social protection spending in India—to urgently provide a package of near universal social protection support. While DPO1 enabled provision of immediate cash transfers to about 320 million individual bank accounts identified through pre-existing national social protection schemes and additional food rations for about 800 million individuals; DPO 2 shall ensure a coordinated platform for delivering social insurance, food transfers and cash for excluded migrant communities, disaster-prone regions, urban poor and informal workers.

15. **The proposed program not only enhances coordination across schemes and ministries to build a disaster responsive social protection system, it also expands the ability of India's safety nets architecture to become more inclusive by catering to a diversity of needs across states and vulnerable groups.** Specific social groups are at risk of exclusion from accessing resources and government programs. The program directly transfers majority of benefits to women, thereby redressing gender-based vulnerabilities during a time of isolation. Tribal communities, who report the highest poverty rate in India, are accorded extra weightage in the way social protection measures are targeted, thereby bolstering their inclusion. Migrants and the urban poor have been at great risk during the COVID-19 crisis as social assistance programs in India largely target rural populations without portability across state boundaries. Even prior to COVID-19, India needed to pivot its social protection system to address the needs of a more urban, mobile and diverse population. The onset of the pandemic has escalated the urgency of this reform agenda. Most social protection schemes operating in modern India are designed for a rural, agrarian and chronically poor country. That India now only exists in pockets – the majority of the country has seen booming tele-digital and transport connectivity, sharp declines in income poverty and new neglected sources of risks related to climate, urbanization and migration. State capability and the delivery landscape are deeply different across regions. With economic growth, states have also diverged in their social protection needs and risks-profiles. India's response to COVID-19 and future resilience depends on how its social protection system responds to this heterogeneity. The proposed program enables flexibility for state governments to cater to their contexts, while ensuring the needs of migrants, informal workers and the urban poor are addressed. Despite fiscal stress, state governments have proactively expanded support for the poor during the COVID-19 crisis. The proposed reforms will allow states to access flexible funding from disaster response funds to design and implement appropriate social protection responses to COVID-19 and future disasters. Given that larger shares of COVID-19 cases in India are currently in urban and peri-urban areas, geographically targeted support to these hot-spot districts will help deepen social protection coverage in urban areas.

16. **The second policy program also includes a specific focus on reforms which enable India to strengthen climate resilience of vulnerable populations.** This is done through an important social protection reform which allows the use of nearly half the resources in state disaster response funds to provide communities in disaster impacted regions to access quick cash assistance to cope from loss of livelihoods, and through a reform in the food subsidy system making it more agile, portable and scalable in times of shocks, including future climate-related disasters. The program also supports reforms which promote the development of climate-resilient housing infrastructure, the generation of employments in climate-resilience building public works, and the strengthening of climate resilience of benefit transfers system through the use of mobile technology. Further, a pillar within the program supports broader reforms being implemented by the Indian government to protect groundwater reserves and encourage the use of renewable energy. While the latter two reforms may not have direct links with social protection efforts, these are important to build environmental resilience and reflects a new India CMU approach to include climate-sensitive actions in all national level DPOs. Such actions assume



significance as India ranks fifth³ in a recent 2020 Climate Risk Index. The climate-sensitive components of the program are critical given India's growing vulnerability to climate change shocks. India has suffered economic losses of USD 79.5 billion⁴ due to climate related disasters in the last 20 years. The proposed reform can help India address the adverse impacts of climate change and natural disasters on individuals and communities, mainly in the form of compensating for the loss of life and livelihood.

17. Translating the potential of these reforms into impacts will require complementary investment programs focused on implementation support to states. Each of the proposed reform pillars will need strong support to ensure policy intent yields implementation results. India has made significant strides in using technology and accountability tools to improve payments and targeting. All programs being leveraged for PMGKY use digital modes of targeting and delivery. However, there is great heterogeneity in implementation capacities across states in India, and the proposed policy reforms will need to be supported through state level assistance through investment lending and technical assistance. These programs will need to ensure states are supported in designing delivery systems for social assistance, identifying excluded groups and reinforcing linkages between community-based organizations and social protection programs. At the national level, reforms related to a new consolidated National Social Security Board for informal workers at Ministry of Labour and Employment will need dedicated follow-up through investment projects or NLTA –given the importance of the agenda and weak capacities at MoLE. More details are provided in the sections describing each prior action.

18. Structural and policy shifts that the Bank expected to see evolve over several years have become possible today as a result of the COVID-19 crisis. Through this program, the Bank has partnered with GoI to respond to this important policy opening to bolster India's response to COVID-19 and its future resilience. *The DPO is only one element to support India's journey to build a modern social protection system. Investment lending that strengthen the 'nuts and bolts' of delivery systems can ensure new pan-national platforms being created through the policy reforms are implemented well, thereby translating policy into practice.*

Impact of the COVID-19 pandemic on the country and government response

19. In India, the pandemic and the national lockdown between March-May 2020 affected economic activity, with real GDP contracting by nearly 24% year-on-year in Q1 FY21 (April-June 2020). Until mid-March 2020, India was impacted indirectly via trade channels, as key imported inputs to domestic production were impeded, supply chains were disrupted, and global trade slowed. As of March 25, the GoI implemented a country-wide 'lockdown' to contain domestic contagion, and several states imposed additional curfew measures. As a result, economic activity, particularly industry and services, slowed sharply.

20. According to the World Bank's latest forecast, economic growth is expected to decline to -9.6% in FY21 and recover gradually thereafter. The financing needs of the GoI are expected to rise significantly. The sharp economic slowdown has affected revenues disproportionately (at central and state levels), with central government revenues declining by over 40% in the April-July period and states facing a shortfall of a similar magnitude. At the same time, expenditure needs have risen. As a result, the general government deficit is expected to rise above 12% in FY21 and Public and Publicly Guaranteed debt to reach above 90%⁵. The bulk of the required financing is expected to be sourced from domestic markets which for the moment have sufficient liquidity, with only a minor contribution from international

³ Ranking: https://germanwatch.org/sites/germanwatch.org/files/20-2-01e%20Global%20Climate%20Risk%20Index%202020_14.pdf

⁴ <https://www.undrr.org/publication/economic-losses-poverty-disasters-1998-2017>

⁵ Largely reflecting the projected decline in the denominator (GDP) in FY21.



borrowing.

21. **The COVID-19 pandemic has exacerbated the vulnerabilities for traditionally excluded groups, such as youth and women.** In addition, interstate migrants are at risk of increased poverty and destitution. Estimates from the Economic Survey highlight that the magnitude of inter-state labor migration in India was close to 9 million annually between 2011 and 2016 and migrant remittances in lower-income states like Bihar accounted for 35.6% of gross state domestic product (GSDP) in 2011–12. MSMEs that account for the largest non-farm employment (30%) with about 20% female participation are considered to have been impacted the most due to lockdown. The GoI has unveiled a response package corresponding to 10% of GDP, including:

- **Pradhan Mantri Garib Kalyan Yojana (PMGKY)**, to protect the poor and vulnerable impacted by Coronavirus Containment Measures, expected to cost approximately \$ 23 billion.
- **MSME support** includes Emergency Credit Line Guarantee Scheme for INR. 3 trillion⁶, INR. 200 billion subordinate debt for stressed MSMEs, INR. 100 billion to provide equity funding for MSMEs with growth potential and change in the definition of MSMEs, by increasing investment limits and firm turnover, to help incentivize firms to grow.
- **Agriculture infrastructure fund** - proposed financing facility of INR. 1 trillion (to be funded by NABARD) to promote post-harvest management infrastructure and, Micro-food enterprise - INR. 100 billion for technical upgrade and promotion of clusters of local products.
- **Outlay of Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)** - a universal rural employment guarantee program, is increased by INR. 400 billion.
- **Increased state government borrowing-limit**, from 3% to 5% of GSDP (additional INR. 4.28 trillion).
- **Long-Term Repo Operations (LTROs) and Special Liquidity window:** To alleviate cash flow pressures, the Reserve Bank of India has conducted LTROs and Targeted LTROs for a total amount of INR. 9.6 trillion (about 4.5% of GDP) since February 2020. Moreover, a Special Liquidity Facility for mutual funds of INR. 500 billion was opened on April 27, 2020, to ease liquidity pressures on mutual funds.

WBG support for responding to the crisis

22. **In alignment with its global response, the WBG has been closely supporting GoI's strategy**, which consists of *three phases*. *In the first phase*, the GoI tackled the health aspects, and partnered with the Bank for a \$1 billion health project. *In the second phase*, GoI invested \$ 23 billion in social protection program to support the poor and vulnerable communities during the lockdown, and the Bank provided financing of \$ 750 million (the proposed program intends to extend support of additional \$ 400 million). *In the third phase*, GoI focused on economic stabilization and reducing the costs of the lockdown. This includes support to MSMEs and their workers during lockdown by committing about 1.5% of GDP to MSME finance. The Bank financing of \$750 million is supporting this program to provide liquidity for their balance sheets, to mitigate against potential solvency problems and job losses, and to lay the foundations for a stronger MSME financing ecosystem in the recovery phase.

23. Additionally, the Bank activated the Contingent Emergency Response Component (CERC) in five projects to support the state governments' COVID-19 relief efforts. Moreover, many projects made special provisions for COVID-19 Assistance Packages within their project scope. Going forward, the Bank will be supporting the GoI under the following broad themes:

⁶ Details: <https://pib.gov.in/PressReleasePage.aspx?PRID=1625306>.



i. Saving lives: Other than the ongoing health programs, the Bank is a potential partner with Gol on its flagship program of Atmanirbhar Swasth Bharat Yojna which aims at strengthening the health sector in the country by strengthening healthcare services, health emergency preparedness and response and strengthen core capacities as per the International Health Regulations. In addition, the Bank is exploring innovative ways of support to the state and central governments through upcoming operations in the education (Andhra Pradesh, Gujarat) and health (Mizoram, Meghalaya) sector.

ii. Protecting poor and vulnerable people The Bank will further support the efforts of the Gol under this pillar through the Development Policy Lending-II for social protection with a credit of \$400m. This second phase of the Social Protection program is intended to enhance coordination across schemes and ministries to build a disaster-responsive social protection system and expand the ability of India's safety nets architecture to cater to diverse needs across states and vulnerable groups. Some upcoming projects have specific COVID-19 components supporting this pillar - Chhatisgarh Inclusive Rural and Accelerated Agriculture Growth and Fisheries Sector COVID-19 Response and Recovery.

iii. Sustainable growth and job creation: The Bank is preparing for a project on raising and accelerating MSME productivity which will focus on strengthening institutions and markets to enhance MSME productivity. Job creation is a special focus under the infrastructure projects as well.

iv. Strengthening policies, institutions and investments for rebuilding better: This is an all encompassing theme under India CPF and is integrated in most of the projects. The upcoming engagement with the National Disaster Management Agency on Seismic Risk Mitigation Project is one such example.

24. The IMF does not have an active lending program in India. However, it undertakes regular macroeconomic supervision and Article IV consultations twice yearly. The Bank and IMF teams regularly exchange views and information. The partnership with other donors was brought to fruition in both the Social Protection and MSME COVID-19 response DPLs. Within the Social Protection DPL, the Bank has worked in collaboration with the Asian Development Bank (ADB), Agence Française de Développement (AFD), and Kreditanstalt fuer Wiederaufbau (KfW). The Japanese International Cooperation Agency (JICA), Asian Infrastructure Investment Bank (AIIB), the New Development Bank (NDB) and International Fund for Agriculture (IFAD) are also exploring potential parallel financing in upcoming operations. Discussions are ongoing to expand the World Bank's TA through additional funds from the Bill and Melinda Gates Foundation (BMGF) and the United Kingdom's Foreign, Commonwealth and Development Office (FCDO).

Corporate Priorities

25. **Gender.** The proposed program aims to address gender-gaps in program coverage for social assistance in India. Global experience indicates that poverty targeted safety nets tend to be gender sensitive driven by the fact that female headed households tend to be poorer than male headed households. PMGKY has gone further than just addressing gender bias in poverty but it also includes specific programs which are targeted only to women under PMJDY⁷ - which is a subset of PMGKY and has the objective of increasing financial inclusion of women. Results from the CMIE COVID-19 supplementary module⁸ between May and August 2020 shows that nearly 70 per cent of women enrolled in the PMJDY program received cash transfer benefit. In the bottom 40 per cent, 72% of such enrolled women received benefits. Beyond being gender

⁷ PMJDY (Pradhan Mantri Jandhan Yojana) is a financial inclusion program to encourage men and women to open Bank accounts but special financial incentives are provided to women.

⁸ CMIE is a household longitudinal survey to which a special post COVID-19 lockdown module (called the COVID-19 supplementary module) was added to assess impact of PMGKY. The survey was conducted over the phone during the lockdown period and covered 68,030 household during the period.



targeted, the broader PMGKY programs also had more impact on female headed households. The largest component of PMGKY was food distribution through PDS which covers almost 800 million people. Among PDS enrollees, PDS rice benefit were received by 75% of female headed households and 68% of male headed households.

26. **Climate Change.** The design of the social protection prior actions promotes climate change mitigation and adaptation. Under DPO 1, Prior Action 1 provided additional clean energy subsidies to the poor through Ujwala. Under DPO 2, Prior Action 1 increases flexibility in use of national and state disaster response funds, while Prior Action 4 reforms the food subsidy system to be agile and rapidly scalable, both of which will not only help with COVID responses but creates a broader flexible response system which can be deployed in future climate related disasters such as floods and cyclones. Prior Action 5 contributes to the development of climate-resilient infrastructure by facilitating the adoption of innovative, eco-friendly, and disaster-resilient technologies and building materials. Prior Action 8 generates employment in climate resilience-building public works. Prior Action 9 strengthens the climate resilience of social protection benefit transfers system through the use of mobile technology. Beyond the climate change elements of the social protection reform elements, this DPO also includes a climate change pillar which is now required for all India DPOs. Finally, evidence from Indonesia and Brazil suggest that communities which receive cash transfers tend to reduce deforestation and invest in environmentally friendly practices⁹.

2. MACROECONOMIC POLICY FRAMEWORK

2.1. RECENT ECONOMIC DEVELOPMENTS

27. **When the COVID-19 outbreak unfolded, the Indian economy was already slowing.** Real Gross Domestic Product (GDP) growth had moderated from an average of 7.4 percent over FY16-FY19 to 4.2 percent in FY20.¹⁰ The growth deceleration was due mostly to unresolved domestic issues (impaired balance sheets in the banking and corporate sectors) affecting credit and investment, which were compounded by stress in the non-bank segment of the financial sector and a marked decline in private consumption, on the back of weak rural income growth.

28. **Against this background of pre-existing weaknesses, the COVID-19 pandemic brought about major additional disruptions to economic activity during the first quarter of FY21.** Until mid-March 2020, India was impacted mostly indirectly. External spillover effects dominated as key imported inputs to domestic production -especially from China¹¹ were impeded and international supply chains were disrupted. Thereafter, the imposition of a national lockdown to limit domestic contagion resulted in a major slowdown in economic activity, particularly outside of the agriculture sector. Initial estimates for the first quarter of FY21 (April-June 2020) suggest that output contracted by a record 23.9 percent year-on-year (y-o-y), with sharp declines in services and industrial activity. On the demand side there was a sharp contraction in investment (47 percent) and private consumption (27 percent), with net exports providing the only source of relief, as the drop in imports (40 percent) vastly outweighed the reduction in exports (20 percent)¹². Initially, there were also large negative impacts on financial markets, capital flows and equity markets, but these quickly reversed.

29. **The Government of India (GoI) responded proactively to the economic fallout from the COVID-19 outbreak.** In May 2020, an “Economic Package” equivalent to 10 percent of GDP was announced comprising the steps outlined below

⁹ <https://advances.sciencemag.org/content/6/24/eaaz1298>

¹⁰ FY20 refers to the financial year (April 2019 to March 2020).

¹¹ Which accounts for about 15 percent of total imports and supplies key inputs in pharmaceuticals, auto, electronics and apparels sectors

¹² National Statistics Office (NSO)



(in addition to liquidity injections by the RBI):

- **Financial sector measures** to maintain the flow of credit, which included: (i) a 100 percent credit guarantee on additional bank and Non-Bank Finance Companies (NBFCs) lending to MSMEs and other small businesses up to 20 percent of their outstanding credit as of end February, (ii) a “special liquidity scheme” where a Special Purpose Vehicle would channel liquidity from the RBI to invest in the investment-grade debt of NBFCs, housing finance companies and micro finance institutions, with the entire operation guaranteed by the government, and (iii) a broadening of the existing partial credit guarantee scheme for banks to purchase assets pools and bonds issued by NBFCs. In addition, the authorities sought to shield viable firms with liquidity pressures – particularly MSMEs – from immediate bankruptcy risks by (i) suspending the initiation of insolvency proceedings, (ii) excluding COVID-19-related debt from the definition of default for triggering insolvency proceedings within the Insolvency and Bankruptcy Code (IBC), and (iii) increasing the threshold limit for initiating insolvency proceedings within the IBC.¹³
- **Social safety net measures** to help households cope with immediate income shocks including (i) increasing the budgetary allocation for the rural employment guarantee program (MGNREGA), (ii) free provision of wheat or rice and pulses to needy households, and (iii) the introduction of “National Portability Cards” to allow beneficiaries to access the Public Distribution System from any Fair Price Shop across the country.
- **Structural Reforms (announced in May but adopted in October)** including far-reaching changes to agriculture marketing practices.

30. **After reaching 4.8 percent in FY20, headline inflation averaged 6.7 percent over the first half of FY21 (April-September 2020), mostly due to supply-chain disruptions.** This is almost 3 percentage points above the RBI’s inflation target-midpoint of 4 percent and above the upper band of 6 percent. Food inflation (averaging 9.6 percent over April-September) contributed significantly to headline inflation in recent months, mostly reflecting supply chain and transport constraints. Core inflation (headline, excluding food and fuel) also remained elevated at 5.7 percent in September.

31. **In spite of elevated inflation, the Reserve Bank of India (RBI) adopted a proactive stance.** It cut the repo rate by a cumulative 115 bps between March and May. While mounting inflationary pressures led the RBI to pause further easing as of August, the Monetary Policy Committee indicated strong commitment to maintaining an accommodative policy stance for the foreseeable future. In addition, the RBI has taken steps to ensure that ample liquidity is available in the market including through targeted long-term repo operations (TLTRO), cutting the cash-reserve ratio, increasing the borrowing limits for the central and state governments, providing refinance facilities to DFIs (NHB, SIDBI and NABARD) and easing borrowing requirements under the marginal standing facility window. The RBI also announced a 6-month loan moratorium and NPA standstill through August 31, 2020, and subsequently a special restructuring scheme for accounts affected by the impact of COVID-19. The RBI has also recently announced on tap TLRTOs of INR 1 trillion until March 2021, Open Market Operations in State Development Loans (SDLs), to support state-level borrowing, and has increased the Held to Maturity (HTM) limits for government securities from 19.5 percent to 22 until March 2022.

32. **India’s financial sector was already exhibiting signs of fragility coming into the crisis.** Enduring structural weaknesses in the banking sector (particularly public sector banks) were compounded by stress in the non-bank subsector, following the default of the systemically important Infrastructure Leasing & Financial Services (IL&FS) NBFC in September 2018. Along with other factors, this contributed to non-food credit growth declining to 6.7 percent in FY20 (below the 12.8 percent average of the ten years prior). According to the RBI’s Financial Stability Report from July 2020, the gross NPA ratio of scheduled commercial banks was estimated at 8.5 percent in FY20 and expected to increase to 12.5 percent by

¹³ To Rs10 million from Rs0.1 million



FY21 reflecting COVID-19 related loan delinquencies, under a baseline scenario significantly more benign than actual developments.

33. **India's external position has improved significantly..** India's external position had already improved markedly in FY20, as imports of goods and services contracted on the back of weak domestic demand, with the current account deficit narrowing to 0.8 percent of GDP and the financial account recording robust inflows of portfolio and foreign direct investment (FDI). In the first half of FY21, these trends were magnified by the impact of COVID-19. The current account turned to a surplus, as the collapse in imports (by 40 percent) more than offset a drop in exports and a decline in remittances¹⁴ (by 21 percent). Meanwhile, net foreign direct and portfolio investment inflows rose to USD 29.2 billion over April-August 2020 (compared to USD 24.3 billion during the same period of the previous year). Finally, the RBI intervened in the market to prevent an excessive appreciation of the domestic currency, whose exchange rate rose to around 73.6 per USD on October 23, 2020. As a result of these three dynamics, foreign reserves accumulated to a record level of USD 542 billion at end-September, equivalent to about 14 months of FY20 imports, up from USD 475.5 billion at end-March.

34. **India's fiscal situation deteriorated sharply in FY21, exacerbating pre-existing weaknesses.** Prior to the COVID-19 outbreak, a significant shortfall in revenue, had already necessitated a reassessment of the central government's FY20 fiscal deficit target, from 3.3 percent of GDP in the initial budget to 3.8 percent in the revised budget. The provisional assessment of the Controller General of Accounts suggests that the FY20 fiscal deficit reached 4.6 percent of GDP. At the subnational level, detailed state-level fiscal data is not yet available for FY20, however, the combined deficit of states is believed to have widened to about 3 percent of GDP, given lower-than-expected growth. As a result, the general government (center and states) fiscal deficit is estimated to have reached 7.6 percent of GDP in FY20. In the first half of FY21, fiscal dynamics deteriorated further, due to the direct and indirect impact of COVID-19. First, the GoI proactively responded to the health and social emergency through additional spending measures (albeit only amounting to a fraction of the total Economic Package)¹⁵. Second, the deep contraction in economic activity in early FY21 impaired revenue collection dramatically, both for the center and the states. During April-June 2020 (Q1 FY21) tax and nontax revenues of the center fell by 46 and 55 percent respectively y-o-y. For states, aggregate data for 16 states indicate that revenues and own tax receipts fell by 18 and 10 percent respectively, y-o-y. As a result the fiscal deficit widened significantly as did domestic borrowing (which is the main source of financing the fiscal deficit in India).

2.2. MACROECONOMIC OUTLOOK AND DEBT SUSTAINABILITY

35. **While the national lockdown has been lifted and mobility restrictions eased, the resumption of economic activity is expected to be very gradual.** The national lockdown – implemented by the central government with the backing of states – resulted in a standstill in economic activity in the first quarter of FY21. As a result, the balance sheets of households and firms have been adversely impacted, particularly given the largely informal nature of economic activity and employment. Preliminary data indicate significant labor market impacts, including a steep decline in labor force participation. In the near-term, therefore, it is likely that private consumption will remain depressed (given the need for households to rebuild savings, and to adjust permanent income expectations) and that firms will refrain from carrying-out significant investments until they have re-built their balance sheets and consumer demand has firmed. For most businesses, operating costs have risen significantly throughout the value chain, while consumers are likely to engage in precautionary savings. These mutually reinforcing disruptions in domestic supply and demand, along with weak external

¹⁴ Remittances (as measured by personal and other current transfers) declined by about 5.5 percent y-o-y during Q1FY21.

¹⁵ The 10 percent of GDP package included liquidity already injected by the RBI, a previous fiscal package, credit guarantees and liquidity provision in addition to direct budgetary resources, and some of the direct spending measures that were meant to be covered through re-purposing of pre-planned expenditure.



demand, are expected to result in a large growth contraction in FY21. On the supply side, the services sector will be particularly impacted. On the demand side, any revival in domestic investment is likely to be significantly delayed, given heightened risk aversion by lenders, persistent concerns about financial sector resilience, and the deterioration in corporate and household balance sheets.

36. The World Bank's latest forecasting cycle – concluded in October 2020 – projects a contraction of 9.6 percent in FY21 (albeit with a considerable margin of uncertainty) and a U-shaped recovery trajectory. The large anticipated contraction in FY21 reflects the massive decline in output registered in the first quarter of the fiscal year as well as the gradual nature of recovery, particularly for services. The elements of uncertainty include (i) the course and duration of the pandemic, (ii) the speed at which the behavior of households and firms adjust to the lifting of the lockdowns, and (iii) further countercyclical monetary and fiscal policy measures. In FY22, growth is expected to rebound to 5.4 percent but this improvement mostly reflects base effects. On the supply side, services sector growth is expected to be durably impaired particularly for activities requiring face to face interactions, and in tourism and hospitality subsectors. On the demand side, private consumption is anticipated to recover gradually (although not linearly since households will need to rebuild depleted savings) but investment is expected to be significantly hampered, as companies and banks emerge from the moratorium regime with significant pending liabilities. While exports should gradually recover, muted global growth will translate into slow growing demand for India's exports, unless the country can significantly boost its competitiveness. As a result, according to current projections, India should return to pre-COVID levels of output in FY23 only.

37. The RBI is expected to continue to support the economic recovery within the limits of its mandate. Headline inflation has been elevated over the first half of FY21 averaging 6.7 percent and remaining above the upper limit of the RBI's 2-6 percent inflation target band for 6 consecutive months. While it refrained from adopting further interest rate cuts, the Monetary Policy Committee has left its accommodative stance unchanged and provided unambiguous forward guidance that this would be the case "as long as necessary – at least during the current financial year and into the next financial year", arguing that the recent period of elevated inflation was essentially due to transitory supply constraints. Moreover, as discussed above, the RBI has also taken steps (and reiterated its commitment) to ensuring financial market stability and an "orderly evolution of the yield curve" through large scale open-market operations of government bonds (G-Secs) and, since October also state bonds (SDLs).

38. However, it is unclear to what extent financial institutions will be willing or able to pass on the ample liquidity provided by the RBI to final borrowers. Risk aversion continues to hamper the flow of credit and COVID-19 has magnified pre-existing fragilities. The RBI's Financial Stability Report of July 2020 observed that the profitability of Public Sector Banks (PSBs) was weak due to muted credit-uptake and slow resolution of NPAs. Stress tests included in that report indicated that the GNPA ratio could increase to 14.7 per cent under a scenario of very severe stress. Arguably – although the introduction of the debt moratorium does not allow adequate access to up-to-date information – the disruptions caused by the outbreak of COVID-19 will result in significant additional weaknesses across all segments of India's financial sector, implying a much longer than previously expected process of normalization. Data available through August 2020 indicate that nominal bank credit growth to industry remained weak and that it was negative toward medium, micro and small enterprises.

39. The balance of payments is expected to be largely positive in FY21. The current account is expected to reach a surplus of 0.7 percent of GDP in FY21 and is projected to gradually return to a deficit – albeit small – in later years. Meanwhile, capital inflows have remained buoyant. Over April to August 2020, net foreign investment inflows stood at USD 29.2 billion (compared to USD 24.3 billion during the same period last year). As a result of the positive trade and capital balances, foreign reserves reached USD 542 billion at end-September, equivalent to about 14 months of FY20



imports.

40. **A large fiscal slippage is expected for the full FY21 fiscal year, and the current FRBM targets may need to be revisited.** The FY21 Union budget, which was released before the onset of COVID-19, envisaged that the central government's fiscal deficit would narrow to 3.5 percent of GDP in FY21 and further to 3.3 and 3.1 percent of GDP in FY22 and FY23, respectively. This was to be achieved thanks to increases in tax revenues (reflecting an anticipated recovery in overall growth¹⁶ and private consumption), and through a significant increase in capital receipts, in line with the Gol's ambitious dis-investment program. These expectations were already optimistic, even before the COVID-19 outbreak, given India's slowing growth momentum, and the drag on revenue from an earlier cut in corporate taxes¹⁷ and from modifications in personal income tax rates^{18 19}. In the wake of the COVID-19 outbreak, the collapse in growth and revenues, this scenario is no longer possible.

41. **The projected shortfall in revenue is the main driver of the expected central government fiscal deficit.** The Gol has been fiscally cautious in responding to the current health emergency and economic crisis. Total expenditure is estimated to have increased by just 2 percentage points of GDP relative to the pre-COVID-19 FY21 budget (while the government has announced an economic stimulus package amounting to INR 20 trillion, a significant proportion was in the form of liquidity measures by the RBI and below the line credit guarantees). However, a significant revenue shortfall is expected to contribute to a sizeable increase in the fiscal deficit of the central government. Pre-COVID-19, total revenues were budgeted at INR 20.2 trillion; they are now projected to reach INR 13.6 trillion (7.3 percent of FY21 GDP). This INR 6.6 trillion shortfall stems from mostly from lower tax collections (80 percent of the gap). As a result, the fiscal deficit of the general government is likely to increase sharply in FY21. In a baseline scenario, which takes into account revised growth projections, lower than expected tax and divestment proceeds, and the fiscal measures adopted to date, the fiscal deficit of the central government would increase to 8.1 percent of GDP in FY21 (and remain elevated at 6.8 percent in the following year). Thus, if the combined deficit of the states is contained within 4.3 percent of GDP (which is in line with recent relaxations granted by the central government²⁰), the deficit of the general government would rise to 12.4 percent in FY21.

42. **Risks stemming from contingent liabilities exist and may need to be reassessed.** Public sector undertakings and other public agencies have accumulated significant liabilities (with borrowing by public sector undertakings alone amounting to over 9 percent of GDP as of FY19²¹) but risks are believed to be limited given that they maintain adequate access to capital in a context of abundant liquidity. Additional risks come from the financial sector, namely from a buildup of NPAs in public sector banks that could eventually require large-scale recapitalization.²² A clearer estimate of the potential capital needs within the financial sector, both for banks and NBFCs, will emerge after the loan moratorium and

¹⁶ The expected nominal growth rate in the Union Budget was 10 percent for FY21.

¹⁷ The annual turnover threshold for firms to pay a lower Corporate Income Tax rate of 25 percent, was raised from Rs.2.5 billion to Rs.4 billion. Consequently, almost all corporate entities were liable to pay 25 percent tax.

¹⁸ As per the Union Budget 2020-21 the personal income tax (PIT) rates applicable for most slabs were lowered. However, the new rates will be applicable only to those individuals who do not avail of certain exemptions. An individual is free to choose whether to continue to avail exemptions or to shift to the new regime. This step comes in with a simultaneous abolition of about 70 types of PIT exemptions.

¹⁹ Prior to the onset of COVID-19, central government revenue was expected to increase due to anticipated divestment and a gradual pickup in economic activity.

²⁰ India's states are required to obtain clearance from the Gol for their borrowing plans, and in doing so – broadly speaking – they are required to target fiscal deficits not exceeding 3 percent of state GDP. The XVth Finance Commission is expected to finalize its report and recommendations for the next 5 years, including so called "revenue deficit" grants for those states facing particular and unavoidable fiscal stress.

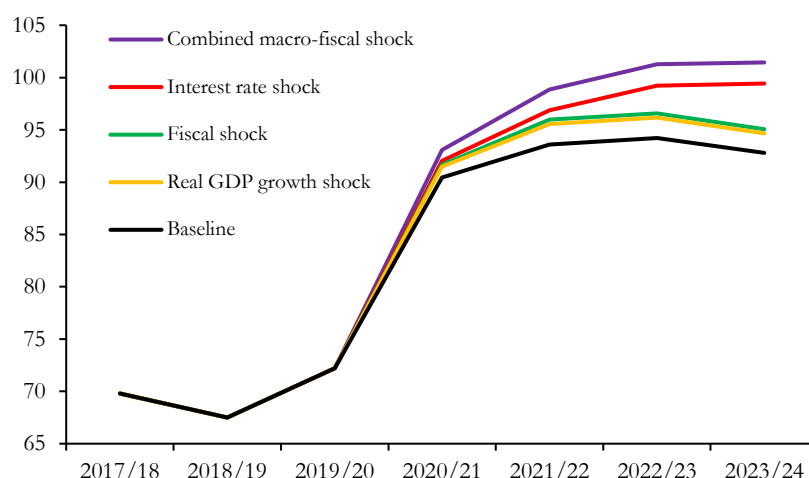
²¹ These are not included in the general government debt stock. Latest data available up to FY19 shows that around 26 percent of central public sector undertakings (CPSUs) are loss-making.

²² The government has recapitalized PSBs in the past years (including INR 654 billion in FY20). Cumulative recapitalization over the 5-year period FY16 to FY20 amounts to 1.6 percent of GDP. The government announced recapitalization of Rs.200 billion for PSBs in September 2020.



NPA recognition standstill expire.²³ Other contingent liabilities that would entail significant fiscal cost could emerge if there are sector- or industry-wide calls on the MSME guarantees by the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) or by the National Credit Guarantee Trust Company Ltd. (NCGTC) as part of the Rs.3 trillion emergency liquidity facility for MSMEs. However, the scope of calls on the scheme will not be known until the full extent of NPAs become clear next quarter.²⁴

Figure 1. India Public Debt Sustainability: Baseline and Stress-Test Scenarios



Source: World Bank staff calculations, RBI and Ministry of Finance.

Note: The growth shock models the effect of a 1 percentage point decrease in growth in FY21 and FY22, the fiscal shock models the effect of a 1 percentage point increase in the primary deficit in FY21 and FY22, the interest rate shock models the effect of a 2 percentage point increase in the nominal interest rate through the forecast period, and the combined macro-fiscal shock models the effect of all three of these shocks occurring simultaneously.

43. **According to the Bank's calculations, India's debt to GDP ratio is projected to increase significantly in the short term.** Under a baseline scenario reflects the COVID-19 shock, including a contraction of real GDP growth and a sharp increase in the primary deficit in FY21, the general government debt-to-GDP ratio peaks at about 94 percent in FY23 before gradually declining thereafter. Under a further combined growth and fiscal shock, the ratio rises to over 101 percent of GDP around FY23. This notwithstanding, India's public debt is assessed to remain sustainable because it is: (a) mostly denominated in domestic currency; (b) mostly of medium-/long -term maturity; and (c) predominantly held by residents²⁵. India's external debt (both public and private), amounting to 20 percent of GDP and predominantly of long duration, is also assessed to be sustainable. Finally, India has a relatively robust institutional and operational framework for debt management. Since 2016, public debt has been managed by a dedicated Public Debt Management Cell (PDMC) housed in the Ministry of Finance, which oversees all key middle office functions. Specifically, the PDMC plays a key role with regards

²³ After the RBI's directive, banks and NBFCs can offer a six-month moratorium to borrowers and do not have to categorize these accounts as NPAs for the duration of the moratorium. As a result, the impact on NPAs and solvency can be determined only after the moratorium, when banks can track their borrowers individually to determine and segregate the permanent impact from the temporary impact and make appropriate provisions

²⁴ Contingent liabilities in the form of guarantees are limited to 0.5 percent of GDP annually. The actuals were 0.41 and 0.25 percent in FY19 and FY20, respectively. For FY21 the contingent liabilities for the announced MSME and NBFC measures will be Rs.3.40 trillion (1.62 percent of GDP) at the nominal value of the announced measures, although less than the full amounts may count within a single fiscal year.

²⁵ As of end-June 2020, commercial banks and insurance companies were the largest owners of GoI dated securities. Under the statutory liquidity ratio (SLR) requirement, scheduled commercial banks are required to hold a specified portion of their net demand and time liabilities (NDTL) in cash or gold or in 'SLR securities' (that includes dated securities and treasury bills of the GoI and SDLs). There has been a calibrated reduction in the SLR in recent years to 18 percent at present.



to debt management strategy formulation and reporting, while debt issuance is handled by the RBI. Thus, even in the event of heightened levels of debt in the short term, the strength of the overall debt management architecture provides comfort that market, and operational risks can be handled and mitigated adequately.

44. **Although downside risks have increased significantly due to the onset of the COVID-19 pandemic, India's macroeconomic policy framework is considered adequate for the proposed DPO.** While real output will decline in FY21, growth is expected to resume gradually from FY22 onwards. The deviation from the pre-COVID path of fiscal consolidation, including on account of countercyclical measures, is needed given the imperative to protect the poor and support economic activity. Moreover, to date, these measures have been in the form of one-off additional expenditures, such that fiscal consolidation can resume in FY22, which should allow public debt to return to a declining trajectory from FY24 onwards. Finally, in an effort to ensure that fiscal discipline is maintained, the government has suspended the introduction of all new programs (other than under the stimulus package) by central ministries and departments for FY21. In view of recent measures by the RBI to mitigate the fallout from the impact of COVID-19, ample domestic funding is available and refinancing risks are still moderate. In recent years, the monetary policy framework has been strengthened and, while India's exposure to external volatility has increased, high reserve levels and limited external financing needs provide adequate buffers. While significant risks remain -in particular a sustained spread of COVID-19 domestically- the government and regulatory agencies (RBI and SEBI) have demonstrated that they had the capacity to respond swiftly and adequately.

Table 2. India Selected Economic Indicators FY16–FY23

Key Macroeconomic Indicators	FY16	FY17	FY18	FY19	FY20 est.	FY21 Forecas t	FY22 Forecas t	FY23 Forecas t
Real Economy	(Annual percentage change unless otherwise indicated)							
Nominal GDP (local currency)	10.5	11.8	11.1	11.0	7.2	-8.3	7.6	7.7
Real GDP	8.0	8.3	7.0	6.1	4.2	-9.6	5.4	5.2
Per Capita GDP (real USD)	1607.9	1719.4	1816.8	1906.8	1965.2	1758.5	1835.4	1912.6
<i>Contributions to growth (percentage points)</i>								
Consumption	5.2	5.2	5.1	5.0	4.2	-8.4	6.2	6.1
Investment	2.0	2.6	2.2	3.0	-0.9	-4.8	2.2	1.9
Net exports	0.1	0.1	-2.8	0.4	0.9	2.0	-1.0	-0.8
GDP deflator growth	2.3	3.2	3.8	4.6	2.9	1.4	2.0	2.4
Consumer price index inflation (CPI av.)	4.9	4.5	3.6	3.4	4.8	3.8	4.0	4.0
Fiscal accounts (general government)	(Percent of GDP)							
Overall balance	-6.9	-6.9	-5.8	-5.4	-7.6	-12.4	-10.9	-8.9
Total Liabilities	68.5	68.8	69.8	67.5	72.2	90.4	93.5	94.1
Selected monetary accounts	(Annual percentage change unless otherwise indicated)							
Base money (M0 or reserve money)	13.1	-12.9	27.3	14.5	—	—	—	--
Credit to nongovernment	10.6	4.4	9.5	12.7	—	—	—	--
Interest rate (Repo rate and period average)	7.0	6.4	6.1	6.3	5.4	5.0	—	--



Balance of payments	(Percent of GDP, unless otherwise indicated)							
Current account balance	-1.1	-0.6	-1.8	-2.1	-0.8	0.7	0.0	-0.5
Imports	22.9	21.3	22.1	23.7	20.9	18.7	20.2	21.4
Exports	20.0	19.4	19.0	20.1	18.4	18.1	18.5	19.2
Foreign direct investment (net)	1.7	1.6	1.1	1.1	1.5	1.1	1.3	1.5
Gross reserves (in US\$ billion, eop)	360.2	370.0	424.4	412.0	475.5	—	—	—
In months of next year's imports	8.4	7.4	—	—	—	—	—	—
External debt	23.4	19.8	20.1	19.8	20.6	—	—	—
Terms of trade (FY2000=100)	71.8	71.1	73.3	—	—	—	—	—
Exchange rate (INR./US\$1, average)	65.5	67.1	64.5	69.9	71.1	—	—	—
Other memo items								
Nominal GDP in INR(trillions)	137.7	153.9	171.0	189.7	203.4	186.5	200.6	216.0

Source: India National Statistical Office, Staff calculations.

Table 3. India's Selected Fiscal Indicators FY15–FY23

Key Fiscal Indicators	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23
	Actual	Actual	Actual	Actual	Actual	Estimate	Forecast	Forecast	Forecast
Central Government									
Overall balance	-4.1	-3.9	-3.5	-3.5	-3.4	-4.6	-8.1	-6.8	-5.3
Primary balance	-0.9	-0.7	-0.4	-0.4	-0.4	-1.5	-4.4	-2.8	-1.3
Total Receipts (revenue + capital)	12.0	12.9	13.3	13.0	12.8	11.9	10.3	11.0	12.2
Tax revenues	10.0	10.6	11.1	11.2	11.0	9.9	8.8	9.2	10.1
Taxes on goods and services	2.9	3.6	4.2	4.6	4.3	4.3	3.7	4.0	4.2
Taxes on income and profits	5.5	5.4	5.4	5.8	6.0	5.1	4.6	4.7	5.3
Taxes on international trade	1.5	1.5	1.5	0.8	0.6	0.5	0.4	0.5	0.7
Other taxes	0.1	0.1	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Non-tax revenues	1.6	1.8	1.8	1.1	1.2	1.6	1.4	1.5	1.5
Non-Debt Capital receipts	0.4	0.5	0.4	0.7	0.6	0.4	0.2	0.3	0.6
Expenditures	16.1	16.7	16.8	16.5	16.2	16.5	18.4	17.8	17.6
Current expenditures	14.5	14.9	15.0	14.9	14.6	14.8	16.7	16.0	15.8
Interest payments	3.2	3.2	3.1	3.1	3.1	3.1	3.7	3.9	4.1
Others (salaries, supplies, and so on)	8.5	8.0	7.9	7.9	7.5	8.5	10.2	9.0	8.4
Tax transfers to states	2.7	3.7	4.0	4.0	4.0	3.2	2.9	3.1	3.3



Capital expenditures	1.6	1.8	1.8	1.5	1.6	1.7	1.7	1.8	1.8
Central Government Financing	4.1	3.9	3.5	3.5	3.4	4.6	8.1	6.8	5.3
External (net)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic (net)	4.1	3.9	3.5	3.5	3.4	4.6	8.1	6.8	5.3
State Governments					FY19 RE	FY20 BE			
Overall balance	-2.6	-3.0	-3.5	-2.4	-2.1	-3.0	-4.3	-4.1	-3.6
Revenues	13.0	13.7	13.7	13.8	15.4	15.2	13.5	14.2	14.6
Expenditures and net lending	15.6	16.7	17.2	16.2	17.5	18.2	18.8	18.3	18.2
Total Liabilities					FY19 RE	FY20 BE			
General Government	66.6	68.5	68.8	69.8	67.5	72.2	90.4	93.5	94.1

Source: India National Statistical Office, Staff calculations. Note: The general government deficit may not necessarily equal the sum of the central and state government deficits as the general government deficit is reported net of intergovernmental transfers. The combined state government deficit is reported with a lag.

Table 4. BOP and external financing requirements

External financing requirements	FY17	FY18	FY19	FY20	FY21	FY22	FY23
	Actual	Actual	Actual	Est.	Est.	Proj.	Proj.
(in percent of GDP)							
1. Financing Requirements (i-ii)	0.6	1.8	2.1	0.8	-0.7	0.0	0.5
i. Current Account Deficit*	0.6	1.8	2.1	0.8	-0.7	0.0	0.5
ii. Net Errors and Omissions	0.0	0.0	0.0	0.0	0.0	0.0	0.0
2. Financing Sources (i+ii)	0.6	1.8	2.1	0.8	-0.7	0.0	0.5
i. Capital Account Balance (a+b+c)	1.5	3.3	2.0	2.8	1.4	1.8	2.4
a. Net Foreign Direct Investment	1.6	1.1	1.1	1.5	1.1	1.3	1.5
b. Net Portfolio Investment	0.3	0.8	-0.1	0.0	0.0	0.1	0.2
c. Net All Other Flows**	-0.4	1.4	0.9	1.3	0.4	0.5	0.5
ii. Change in reserve assets (1-2.i)	-0.9	-1.6	0.1	-2.0	-2.1	-1.8	-1.9
4. External Financing Gap (1-2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Reserve Bank of India and staff calculations.

Note: *: Includes merchandise and invisibles. **: All other flows include short- and long-term debt flows (external assistance, commercial borrowings and trade credits) and banking capital. Positive change in reserves indicate a decline/negative indicates an increase.

2.3. IMF RELATIONS

45. The IMF does not have an active lending program in India. However, it carries out regular macroeconomic supervision and Article IV consultations twice yearly. The World Bank and IMF teams regularly exchange views and information. The IMF provided an assessment letter, which is attached as Annex 2.



3. GOVERNMENT PROGRAM

46. **India has implemented stringent public health measures to flatten the spread of the COVID-19 pandemic.** The Government of India executed the world's largest lockdown on March 23, 2020, bringing economic activity to a halt in a country of 1.3 billion people. The measures have led to serious disruptions specially impacting the livelihoods of the poor and marginal workers and their families. The pandemic has been notified by the national and state governments as a 'disaster', thereby enabling the use of funds and protocols under the national disaster management regulations. To counter the impacts on the poor, vulnerable and informal workers, the Government of India launched the Pradhan Mantri Garib Kalyan Yojana (PMGKY), an important and ambitious initiative to protect the poor and vulnerable who have lost their livelihoods due the Coronavirus Containment Measures. These measures are expected to cost the Government 170,000 crore INR (approximately USD 23 billion), demonstrating the Government's strong commitment to assure that the poor and displaced are protected during this massive economic turmoil. The Government is ready to provide more funding if needed to assure this goal.

47. **The Government PMGKY package, anchored at the Ministry of Finance, uses India's well-developed Public Distribution System (PDS) and Direct Benefit Transfer (DBT) system to transfer food and cash benefits respectively.** In-kind benefits for food will be delivered to all poor and vulnerable households identified by the PDS using pre-existing channels of Fair Price Shops across the country, maintaining social distancing norms. Cash transfers shall be made directly into the bank accounts of beneficiaries identified by five of the country's largest cash-transfer programs from the treasury, thereby ensuring timely payments to those in need. The identification of beneficiaries relies on India's near-universal programs, supplemented by the Aadhaar digital ID network. The key elements of the measures announced on March 25, 2020 are as follows:

- Scaling up Public Distribution System (PDS) allocations for all AAY, Priority households for three months (1kg pulses per household, 5kg wheat or rice per individual in the household)
- Advance payment under Pradhan Mantri-Kisan Samman Nidhi (PM-KSN) by INR 2000 for 8.7 crore farmers for three months
- Increasing Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) wage rates from 180 INR to 202 INR
- Transferring 1000 INR to all beneficiaries under the National Social Assistance Program (NSAP) for elderly, widows and disabled receiving social pensions (3.5 crore beneficiaries)
- Transferring 500 INR per month to all female Jan Dhan Accounts for three months
- Scaling up UJJWALA: Providing free cylinders for three months to poor UJJWALA beneficiaries. This expected to cover 8.3 crore households
- Encouraging States through advisories to use Construction Workers Welfare Funds for covering the unorganized sector: Union Government intends to issue directives to state governments to use the INR 31,000 crore funds in the Building and Other Construction Workers Welfare Fund to finance support for COVID-19 response to 3.5 crores registered construction workers.
- The Central Government will pay Employee Provident Fund (EPF) contributions for employees and employers for the next 3 months. This is targeted to establishments with up to 100 workers and where 90% of workers earn less than INR 15,000 per month. This is expected to cover 18 lakh employees and 4 lakh establishments.
- The Central Government will amend EPF regulations to allow workers to access a non-refundable advance from their accounts. The regulations will allow workers to withdraw 75% of their provident fund savings or 3-months wages (whichever is lower). This is expected to benefit 4.8 crore workers covered by the Employees' Provident Fund Organisation (EPFO).



48. **Following the PMGKY announcement, which focused on emergency supplemental support to beneficiaries of existing programs, the Government has approved additional provisions to ensure that migrant workers receive access to food and shelter where they are currently resident.** The Government is also aware that there are critical challenges which need to be addressed quickly to ensure full portability of benefits regardless of location or the sector in which workers are engaged. The Government also recognizes that while the National Disaster Management Fund can fund one-time relief payments it cannot finance a series of short-term safety net payments which are necessary to respond to extended disasters such as COVID-19. In response, the government plans to open a new window for adaptable social safety nets funding by allowing states to use SDRF/NDRF to provide immediate cash support for the COVID-19 disaster and future disasters whether local or national. Further, to consolidate and fast-track social protection for informal workers and the urban poor, the Ministry of Labour and Employment have mandated the creation of a National Social Security Board for coordinated mission-mode delivery of social insurance and cash to informal workers, with focus on the gig-economy and aggregators.

4. PROPOSED OPERATION

4.1. LINK TO GOVERNMENT PROGRAM AND OPERATION DESCRIPTION

49. **Program Development Objective of the proposed operation is to: strengthen the capability of state and national governments in India to provide coordinated and adequate social protection to protect the poor and vulnerable from the impacts of the COVID-19 pandemic.** In this context, 'capability' implies organizational guidelines, systems and institutional/legal mechanisms which allow government agencies to respond to demands for social protection to ensure strong coverage of the vulnerable. By 'coordinated', the program implies fostering an integrated institutional framework to implement a whole-of-society and whole-of-government approach for social protection and resilience, whereby pre-existing programs and platforms are leveraged by engaging all tiers of government including community groups. The program also aims to ensure an 'adequate' package of social protection, implying that size of the benefits transferred should compensate for losses in consumption expenditures and prevent households from falling below the poverty line. All actions enable improved coordination across national and state governments, thereby improving capabilities of government agencies to simplify and ease access to benefits for citizens. A robust series of analytics (listed in Table 5) highlight that fragmentation hampers the capability of state and national governments in India to cover key vulnerable groups and provide timely benefits.

50. **The proposed DPO supports all aspects of the the Government's COVID-19 social protection efforts through a series of reforms.** The reform package is designed to improve efficiency of delivery and to address problems which have emerged such as lack of geographic portability of benefits and specific needs to support migrant workers. By supporting this critical government priority, the proposed operation reinforces the Gol's focus on social protection and strengthens the prospects of results being achieved successfully. Beyond emergency support to households to tackle impacts of lockdowns, the focus of the Bank's policy dialogue links the social protection response to COVID-19 with broader social protection and resilience agenda.

4.2. PRIOR ACTIONS, RESULTS AND ANALYTICAL UNDERPINNINGS

51. **Through DPO1, engagement with India on social protection has deepened at the national and sub-national level.** The Bank has supported Gol's efforts to strengthen social protection systems for COVID-19 and future shocks through a variety of approaches at the national and state level, including providing detailed technical assistance and 'nuts and bolts'



support to efforts of specific line ministries and states. Key policy and institutional reforms envisioned through DPO1 are being further bolstered through state level projects which build capability of state governments to implement dynamic and inclusive delivery systems in West Bengal, Assam, Odisha, Chhattisgarh and Kerala. Since the design of DPO 1, COVID-19 cases have amplified across the country. India now reports the second largest number of cases in the world. Lockdowns have become increasingly targeted, as India has started to open key sectors or economic activity as part of its “unlock” strategy. At such a critical stage of India’s fight against the pandemic, a dynamic, portable and responsive social protection system is urgent. Reforms and initiatives underway through DPO1 have allowed the government to strengthen the resilience of citizens through scaling up pre-existing programs for emergency relief. The reforms in the second phase shall help address any exclusion from accessing emergency assistance and support initiatives that improve the capability of state’s to both assess and respond to the fault lines revealed in India’s safety net such as dealing with new risks faced by migrants, new-poor, urban areas and climate-link disasters.

52. **The Prior Actions under DPO2 largely follow the Triggers under DPO1.** They ensure continuity and deepen the reforms initiated under DPO1. The actions extend important assistance and insurance measures to be co-terminus with the case-burden in India. They also create new protocols and delivery systems for providing cash and employment support to vulnerable migrants. Importantly, employment support for migrants shall be provided using a converged approach in rural areas. Urban areas shall be able to access a new cash-for-housing program aimed to build resilience of their homes and livelihoods. Social insurance and cash transfers for informal workers shall be consolidated through a combined National Social Security Board with due authority and defined business processes for delivery.

Pillar I: Leveraging Pre-Existing Social Protection Measures for COVID-19 Relief

53. **Actions in DPO 2 aim to address exclusions and populations that maybe potentially left-out from receiving benefits through measures proposed in DPO1 and the government’s COVID-19 Social Protection Program (PMGKY).** Much like DPO1, these measures continue to leverage India’s strong e-payments platforms to re-enforce social assistance by approving additional cash payments to the poor and vulnerable. Instead of creating a new pipeline to deliver cash or

Prior Action 1: *The Borrower, through the Ministry of Home Affairs, has expanded the ability of state governments to provide social protection during disasters through the use of up to 50 per cent of State Disaster Response Funds leveraging pre-existing decentralized protocols for state governments to access financing to provide context-specific, adequate and agile safety nets.*

in-kind assistance, India is uniquely placed to use its large-scale pre-existing safety nets -which target the poor and vulnerable in large numbers -to deliver disaster responsive social protection. Scaling up through existing national programs provides a stable and functional pipeline to transfer cash to households as these delivery systems are tried and tested. Further, these programs use India’s pioneering e-payments architecture whereby bank account information has been verified through recent use, DBT programs rely on Aadhaar for authentication as well, thereby limiting double-dipping of PMGKY benefits.

54. **Under DPO 1, the government scaled up the PMGKY package to provide additional cash assistance to poor households and vulnerable groups already receiving cash-benefits from five major national social protection programs:** (i) Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), the largest public works program in the world; (ii) Pradhan Mantri Ujjwala Yojana (PMUY), which provides gas cylinders and subsidies to 80 million below poverty line households in 2019; (iii) National Social Assistance Program (NSAP), which provides social pensions to 30 million below poverty line widows, disabled and elderly; and (iv) Pradhan Mantri Jan Dhan Yojana (PMJDY), a pan-



national financial inclusion platform focused on low-income clientele transfers cash assistance to 204 million female account holders and (v) the government is also providing advance payments under the Pradhan Mantri Kisan Samman Nidhi (PM-KSN), a quasi-basic income support program operating for poor and vulnerable rural agriculture workers, covering 87 million farmers. Combining these elements, the PMGKY program has accelerated near-universal emergency social protection support through cash transfers to 320 million beneficiaries identified by pre-existing national programs.

55. **The early results from DPO1 highlight the need for state governments to play a crucial role in minimizing exclusion and ensuring speedy delivery of social protection for COVID-19 relief.** Each program being leveraged by PMGKY to scale up social protection for the poor relies on state governments for delivery and implementation. While evidence suggests that MGNREGS, NSAP and UJJWALA report pro-poor targeting, programs such as PM-KSN exclude landless farmers. Further, migrants are at risk of being left out from the current universe of beneficiaries identified by national programs under PMGKY as these provide benefits to residents of states only. Early data from DPO1 results tracking finds that there may also be a sizeable share of destitute persons, new-poor and the lower middle-class who are not enrolled in the PMGKY scheme universe and require support. The CMIE post-lockdown survey data shows that 47 percent of poor (below the \$1.90/day line) are not covered by any of the four targeted²⁶ cash-transfer programs under PMGKY. The enrollment gap is similar between male and female headed households (see Table 6). 41 percent of female-headed households from the bottom 40 percent (based on consumption measures) were not enrolled in any of the cash transfer programs, compared to 42 percent of male-headed households. While India has been a pioneer in scaling up cash assistance for emergency relief for COVID-19, providing 320 million benefits to women's PMJDY accounts, gaps in coverage remain and can be addressed through the proposed reforms. Therefore, it is critical for States to be able to cater to these left-out groups by deploying local service delivery solutions, community-based organizations and the DBT platform to reduce exclusion and enhance the speed and scale of the social protection measures, particularly in areas where lockdowns are continuing and case-burdens remain high. However, given that many states are facing fiscal stress, state governments will need additional support and financing from the national government to tackle additional demands for support. Further, agro-climatic variation and diversity of the delivery landscape across states in India will require an enabling policy and financing regime whereby state governments have greater flexibility in shaping their social protection response to COVID-19 and future disasters, while the national government focuses on monitoring and coordinating interventions and facilitating cross-state learning.

Table 6: Enrollment and Benefit Delivery among Bottom 40% Households by Gender of Household Head

Type of Benefit	Share of Households (%) Enrolled in PMGKY Sub-Programs		Share of Enrolled Households (%) that received benefits from PMGKY ²⁷	
	Female headed	Male headed	Female headed	Male headed
Food Transfers	86.8	88	80.2	77.2
Cash Transfers	58.4	57.2	51.7	45.2

(Source: Bhattacharya and Roy 2020)

56. **State governments are best placed to design and tailor the COVID-19 response to their own communities and contexts.** As the India CPF reflects, political economy and the design of Indian administration make state governments an

²⁶ MGNREGS in rural areas is a self-targeting rights-based program.

²⁷ Share of Enrolled Households (%) that received benefits from PMGKY is self-reported by beneficiaries during a representative household survey. These are provisional estimates and shall be updated and finalized after follow-up round of the survey by January 2020



ideal focal point for decision making on a range of critical delivery issues in India. States are entrusted with disaster management, in coordination with the national government. Even in the context of COVID-19, states are leveraging programs, local governments and community-based organizations for service delivery. As part of the COVID response measures, Self-Help Groups (SHGs) have also been tasked with running community kitchens and delivering prepared meals. Approximately 10,000 community kitchens have been set up so far primarily across 75 districts in the five states of Bihar, Jharkhand, Kerala, Madhya Pradesh and Odisha. States are also tailoring their approaches to delivering cash assistance based on local context. Accessing cash from bank accounts is challenging given social distancing protocols and lockdowns. These delivery challenges are compounded in areas which are remote and rural. Different states are using different delivery models. For example, in Kerala, the state government is relying on post-office personnel to deliver payments at the beneficiary's doorstep. In other states, micro-ATMs and the Fair Price Shop network are being activated to make sure cash benefits are accessible for households.

57. Through Prior Action 1 in DPO 2, the proposed program will enable state governments to access funds and flexibility in how they roll-out disaster responsive social protection interventions through use of State Disaster Response Funds. COVID-19 has been notified as a 'disaster' as per India's national disaster management protocols. In March 2020, the National Disaster Management Authority (NDMA) under Ministry of Home Affairs has notified State governments and Union Territories to use disaster response funds for COVID-19 management efforts. The NDMA provides guidance and regulations for disaster management in India, and outlines mechanisms for states to access funding for disaster relief. A core source of funding for managing disasters is the State Disaster Response Fund. The Disaster Management Act, 2005 created these funds which are the primary response fund available with each State government to tackle needs from any notified disaster. However, prior to notifications for PA1 in September 2020, these funds were not available to states for social protection in the context of disasters, and focussed largely on providing infrastructure, temporary shelter and relief materials. The reform, as described in PA1, enables states to access half the resources in State Disaster Response Funds for social protection in disaster areas, creating rules and regulations for states to draw down on funds for social assistance in hot-spot clusters and cater to excluded groups. The norms clearly outline mechanisms for oversight whereby households do not receive double-benefits from PMGKY package and the SDRF – stating the State Executive Committee (SEC) mandated by the Disaster Management Act²⁸. The SEC is the highest-level body in States to monitor disaster management, to sanction plans/guidelines and expending of funds, and is empowered to authorize state DM departments to withdraw funds from the SDRF. Headed by Chief Secretary of the State (apex administrative head of state bureaucracy).

58. The national rules do not prescribe a one-size-fits-all delivery channel and allow states to use pre-existing protocols for accessing SDRF finances, while using local systems for delivering and targeting social assistance through use of digital payments, local governments and community-based organizations for delivery. These initial guidelines shall be followed up by additional 'nuts and bolts' support through guidelines for staggered cash transfer assistance for multiple hazards beyond the pandemic. The SP and DRM team have been working closely to provide NLTA to ensure these provisions yield strong impacts and results. The proposed reform path will help forge a new relationship between the national government and states for effective social protection financing and delivery. It will enhance India's preparedness for the current and future health/natural disasters by reorienting the focus of the national rules/regulations on disaster management from protecting physical infrastructure towards social protection, thereby leading the way for an adaptive social protection system for India.

²⁸ For functions and members of the SEC, see page 10 and 11 of the Disaster Management Act here <https://www.ndmindia.nic.in/images/The%20Disaster%20Management%20Act,%202005.pdf>



59. **The use of SDRF financing for social protection also signals an important pathway to build a more climate sensitive and disaster-resilient social protection system in India.** India has suffered economic losses of USD 79.5 billion

***Prior Action 2:** The Borrower through Ministry of Health and Family Welfare, Government of India has extended a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients for additional 90 days.*

due to climate related disasters in the last 20 years. Nearly 60% of India's land area is prone to earthquakes of moderate to very high intensity; 12% land is prone to flood and river erosion; out of 7,516 km coastline, 5,700 km is prone to cyclones and tsunamis; 68% of the cultivable land is vulnerable to drought, hilly areas are at risk from landslides and avalanches, and 15% of landmass is prone to landslides. Due to these factors, the absolute losses incurred by India in 2018 from extreme weather events amounted to USD 37.81 billion (PPP), the highest by any country in the world. The use of the financing in the SDRF for state level scalable and adaptive social protection assistance at the time of disasters and contingencies such as pandemics is an important step in building a more climate responsive social protection system in India.

60. **Expected Results: In the immediate term, the action will trigger enhanced coverage under India's social protection response to the COVID-19 pandemic by enhancing inclusion of previously left-out groups, and enabling the new-poor to access social assistance benefits.** It will create a mechanism for an adaptive program which is fast and flexible, nationally coordinated, and tailored to the specific needs of states. The use of the SDRF can allow states to protect the new-poor who may not be on current program databases being leveraged for PMGKY, such as women and female-headed households who may not have PMJDY accounts or families without ration cards for PDS benefits. The PMGKY roll-out and additional support to states through the state disaster response funds also enables states to top-up assistance (in cases of prolonged lockdowns) and ensure effective delivery.

61. **In DPO 1, the government announced the PMGKAY package which provided three months food rations to nearly 800 million people covered by the Public Distribution System till May 2020.** At the time of these early policy decisions, the government aimed to extend food rations for the chronic poor in areas facing large case burdens and prolonged lockdowns, as captured by Indicative Trigger 2A in DPO1. However, given (i) food accounts for 56 % of expenditures in poor households (ii) majority of Indians are precariously close to the poverty line, and (iii) COVID-19 hot-spots and cases have continued to accelerate in India since the government initiated its 'unlock' phase, food support has emerged as a critical lifeline for the next phase of recovery. As a result, the government has extended the provision of food rations for India's unlock phase till November 2020. This action is not reflected in the policy matrix given its administrative nature. However, the extension is significant as it highlights how PMGKAY reforms supported in DPO1 have provided critical and scalable food support.

Pillar II: Protecting Workers in Essential Service Supply Chains during COVID-19 Pandemic

62. **Through Prior Action # 5 in DPO1 the government announced the provision of health care and important assurance to those who are providing health care and essential services to COVID-19 patients.** The government created a scheme till June 30th, which would cover health professionals tackling COVID-19 cases such as sanitation workers, ward-boys, nurses, community health workers (ASHA workers), paramedics and technicians. Through PA # 2 in DPO2, the program has been expanded. Given the rapid rate of infections in India, the government has extended the health insurance scheme for essential health workers till September 2020. The aim is to provide cover for those who are in direct contact and care of COVID-19 patients and who may be at risk of being impacted. The insurance program extension shall allow



more essential medical service workers to access health insurance during the pandemic, thereby increasing coverage of a key group. All details on the program are available in the Program Document for DPO1.

Pillar III: Improving Access and Delivery for Vulnerable Populations

63. **Through the proposed operation, the Government of India will rebalance its social protection system towards the informal economy, urban areas and social insurance support.** Two critical challenges lie ahead for India's social protection path in responding to COVID-19 and future shocks. First, while India has an elaborate set of program databases which enable immediate release of cash-transfers in rural areas due to extensive reach of rural safety nets, parallel platforms in urban areas are missing. Urban platforms which link beneficiary information with bank details are critical to ensure rapid delivery of income-support in the case of any future crisis. Second, while the immediate response to COVID-19 will require direct provision of cash/in-kind transfers through government financing, long run resilience will necessitate a reorientation towards more co-contributory approaches. Such measures are particularly important for women in the informal sector –who are often engaged in poorly paid and insecure contracts. The reform area through Prior Action 3 addresses these two concerns.

64. **Through PA # 3 (previously reflected as Trigger 7B in DPO1), the government has mandated establishment of a consolidated National Social Security Board (NSSB) with detailed implementation frameworks to link informal workers with beneficiary bank account details through community-based outreach, with emphasis on the urban poor and female-headed households²⁹.** The NSSB will also pursue the design of incentive mechanisms to bolster demand for core social insurance schemes for life (Pradhan Mantri Jeevan Jyoti Bima Yojana)(PMJJBY), accidents (Pradhan Mantri Suraksha Bima Yojana) (PMSBY) and old-age (Atal Pension Yojana) (APY) for all informal workers. While the original Trigger in DPO1 envisaged this coordinating unit to be jointly managed by Ministry of Housing and Urban Affairs and Department of Financial Services, following a series of technical dialogue, the national government decided to drive this reform through the Social Security Code 2020 to give the action requisite legislative authority. Further, India's constitutional jurisdiction requires social security issues to be consolidated, managed and implemented by the Ministry of Labor and Employment (MoLE).

65. **Prior to the 2020 Social Security Code, there were 29 laws governing labor welfare issues in India. These have been consolidated into four new laws --- and one law consolidates all social protection regulations.** The objective is to streamline the institutional landscape and coordinate interventions better, thereby scaling-up cash and social insurance

Prior Action 3: *The Borrower, through the Ministry of Labour and Employment, has approved and adopted a new Social Security Code which includes the roll-out of a National Social Security Board (with online and offline interface) to ensure universal coverage for a basic package of social protection benefits, leveraging the PDS, PMJDY, e-KYC, and Aadhar infrastructure; with focus on achieving full coverage of informal workers with focus on vulnerable populations and occupations, and a clear approach for decentralized implementation.*

coverage and simultaneously creating a delivery platform for informal workers, with focus on gig-economy workers, urban slums and low-income settlements. Before the new Social Security Code of 2020, the Unorganized Workers Social Security Act of 2008 governed rules defining which workers were eligible for social protection and the types of risk-insurance instruments. Through the 2008 policy, nearly thirty-five fragmented Labor welfare boards were established which accorded social security benefits to specific occupations and empowered each individual board to define eligibility rules

²⁹ Last Mile Delivery Options for COVID-19 Note World Bank SPJ 2020 and DDU-NULM Mission Document



and registration efforts –whereby many informal workers with fluid jobs would be excluded. Many types of workers were excluded such as : (i) migrants who were engaged by contractors or were self-employed (ii) those who worked in the growing gig-economy and for aggregators (such as Uber, Amazon, online food delivery services etc.) and (iii) those who worked in enterprises with a workforce of less than twenty people. These groups constitute nearly 75 percent of India's informal labor force. Due to restrictions in registration for workers based on the size of their employers, funds with these labor welfare boards would remain unused. The new code simplifies worker registration for benefits, empowers the MoLE to converge pre-existing boards under the new NSSB and expands social protection coverage to these three excluded groups –while allowing state governments to implement through pre-existing channels based on local conditions.

66. **Expected Results : The 2020 code aims to amend, consolidate and revitalize efforts to scale-up social protection for informal workers** by offering clear institutional authority via a consolidated social security organizational platform whereby every informal worker, gig worker or platform worker shall be empowered to make an application for registration using Aadhaar, with consent and subject to section 2 of the Aadhaar (The Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016. Such authority allows for greater coordination (of discrete social protection efforts) under the social security boarding thereby increasing coverage of informal workers. The new code, unlike the previous Act of 2008, mandates the state and central labor agencies to create a system of electronic registration for beneficiary identification and delivery. Such reforms are expected to increase coverage of social protection amongst informal workers, particularly in urban areas without access to self-targeting rural programs such as MGNREGS. The focus on expanding coverage of social protection to informal workers in urban areas is important from a gender lens as well. The latest PLFS (2018) data shows that roughly 78 percent of both male and female workers in urban areas are engaged in the informal economy. However, women are engaged in sectors such as domestic work, street vending and home-based work which are not covered by pre-existing social security measures. The new Social Security Board will include such workers thereby expanding the share of working women enjoying social protection benefits. The results indicators on social protection coverage of informal workers builds on coverage targets proposed by MoLE. This area will be complemented by technical assistance and an investment operation as it requires support on incentive design, data exchange, business protocols and project management challenges.



Prior Action 4: *The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, has approved and adopted mission-mode roll-out of 'One-Nation-One Ration' platform for pan-national portable PDS access to support food rations for all migrants across state boundaries.*

Prior Action 5: *The Borrower, through the Ministry of Housing and Urban Affairs, has issued the Operational Guidelines dated July 2020, for an Affordable Rental Housing scheme for migrant labor and the urban poor which clearly defines rules and implementation norms.*

Prior Action 6: *The Borrower through Ministry of Home Affairs, has created a National Migrants Information System which establishes a database of inter-state mobility to target and plan migrant-specific COVID-19 social assistance support at the state and national level.*

Prior Action 7: *The Borrower, through the Ministry of Labour and Employment, has: (i) expanded the definition of 'inter-state' migrants to include those who migrate without a contractor; (ii) mandated the creation of a decentralized portal for migrant registration, to enable portability and universal coverage for cash and social insurance benefits, through the Occupational Safety, Health and Working Conditions Code 2020*

67. **DPO2 focusses on ensuring coverage gaps identified through DPO1 are adequately addressed through delivery systems and mission-mode scaling up of employment/cash/housing support for migrants and the urban poor.** Migrants and the urban poor are at risk of exclusion from receiving adequate social protection through PMGKY. This is because none of the six national social assistance programs being leveraged to provide additional support are portable as they only provide benefits to state residents. Also, the PMGKY package has lower coverage in urban areas. Programs such as PM-KSN and MGNREGS only operate in rural India. Programs such as UJJWALA, NSAP and PDS report a larger beneficiary base in rural India. Given that shocks in urban areas are transmitted to rural areas through a drop-in demand and remittances, PMGKY coverage in rural India remains critical. However, the rural-urban gap is a major service constraint as COVID-19 has disproportionate number of cases in urban districts. While reforms through Pillar I will allow more urbanized states to develop their own approach using relevant delivery channels in pandemic hot-spots, this pillar emphasizes broader reforms to ensure vulnerable urban groups are able to access social protection support through a targeted approach.

68. **In response to the needs of migrant workers in urban areas, the Government of India shall expand the migrant-neutrality of its social protection approach through a series of reforms.** First, through Prior Action 4, the government shall implement an ambitious and watershed 'One Nation One Ration' system which reforms the current PDS to become universal and portable, whereby migrants can access food supplies through Fair Price Shops across state boundaries. Such reform in the food subsidy system will not only be beneficial to tackle food security concerns from the COVID-19 crisis, but also puts in place a response capacity which can be rapidly scaled up to address the need of vulnerable groups in any future shocks, including those from climate-related natural disasters. Portability within the PDS shall require affiliated reforms in procurement of grains and management of food stocks. These shall be enabled by current modes of digitized grain procurement and deliveries, which can allow the national government to track and estimate costs per state. These frameworks are being tested in twelve states. Lessons from these pilots shall be incorporated into technical design. The reforms are expected to expedite migrant access to food and adequate social protection relief. Second, through Prior



Action 5, the Ministry of Housing and Urban Affairs will re-orient its focus towards safety nets targeting the urban poor by creating a mission-mode structure which ensures housing rental support. While food accounts for the largest share of expenditures of urban households, this is followed by housing expenditures.

69. **Improved shelter and urban housing benefits will be particularly important for women in the informal sector** – given home-based work accounts for the largest share of employment for the female informal workforce in urban India³⁰. Home-based work is the most important source of employment for women nationally (16 per cent) and in urban India (23 per cent). While nearly 23 percent of women report their home as a primary place of work to produce garments or other goods, only 8 percent of urban working men are home-based workers. *The issued guidelines on Affordable Rental Housing Complexes (ARHCs) also contribute to the development of climate resilient housing infrastructure* by facilitating the adoption of innovative, eco-friendly, and disaster-resilient technologies and building materials through provision for additional grants for projects to use them to provide safe shelter to the urban poor and migrant communities. Third, through Prior Action 6, the Ministry of Home Affairs will create a migrant database to target immediate cash and employment support for COVID-19 relief. This effort will help pave the path for an inter-state migrant portal for universal use being envisaged through Prior Action 7. At present, India does not hold a repository of such information linked with bank account or identification information. Finally, Prior Action 7 amends the definition of ‘inter-state migrants’ in labor laws to include the large chunk who migrate without a formal contractor or are self-employed –thereby extended basic labor protections to these groups. To enable portability of benefits beyond the current pandemic, the new 2020 Occupation Safety Code notifies the creation of a portal for inter-state migrants to access benefits across boundaries beyond the immediate relief planned through Prior Action 6. These reforms allow for a pathway for India’s social protection system to become portable and migrant friendly. Holistically, these reforms shall ensure migrants have access to food, cash and housing support in urban areas.

70. These actions will be complemented by Pillar I reforms which will enable states to design their own door-step delivery solutions to ensure payments are made using multiple options such as self-help groups, post-office networks, PDS network, e-wallets or micro-ATMs. The reforms aim at ensuring timely delivery of social protection benefits to underserved communities such as migrants and the urban poor.

Prior Action 8: *The Borrower, through the Ministry of Rural Development, has established a converged mission-mode cash for employment-support program for returning migrants in rural areas called the Garib Kalyan Rozgar Abhiyan*

71. **Ensuring vulnerable populations –particularly migrants -- gain access to cash-for-work programs is becoming critical as the crisis escalates. The COVID-19 pandemic has triggered movement from urban to rural areas for various migrant communities in cities.** Despite the ‘unlocking’ of the Indian economy in May 2020, early qualitative evidence highlights that many such migrants are reluctant to return to cities for jobs until the crisis abates. Such influx of migrants back to rural areas requires targeted support to ensure workers and their families are economically rehabilitated following the loss of remittance incomes. Prior Action 8 aims to address such livelihood aspects through the creation of a mission-mode converged employment support program anchored at the Ministry of Rural Development, Government of India. The program aims at providing public works and employment to returned migrants within targeted states and districts which serve as the largest migrant-origin areas in the country. Such targeted employment support is critical to ensure households relying on migrant remittances do not fall back into poverty and provide workers dignified and productive opportunities. Such employment-guarantee programs may also have indirect impacts on urban or local wages as

³⁰ https://www.wiego.org/sites/default/files/publications/file/WIEGO_Statistical_Brief_N24_India.pdf



suggested by evidence on MGNREGS, thereby potentially contributing to higher welfare gains for the poor. At the same time, the cash-for-work-programs also contribute to improved natural resource management, including climate change adaptation outcomes, by generating employments in resilience-building public works including water conservation, watershed management and improvement of rural irrigation infrastructure.

72. **Expected Results:** These series of reforms (PA3 till PA8) are expected to increase portability of India's social protection system through food and cash access. The PMGKRA package aims to provide targeted wage-employment support to return migrants in rural areas. Finally, the AHRC initiates the creation of an urban safety nets platform for the urban poor. These efforts are expected to scale-up coverage of social protection for groups that are at risk of exclusion – urban poor and migrants.

***Prior Action 9:** The Borrower through Direct Benefits Transfer Mission, Cabinet Secretariat, has ordered the integration of DBT-related transaction in PFMS with UMANG mobile application, to allow beneficiaries of social programs to query and access information regarding electronic transfers.*

73. **Despite the efforts of Government of India to scale up cash transfers for the poor and vulnerable, there are recent surveys by DVARA, IndusAction and SWAN which suggest that there is lack of information regarding the electronic transfers among beneficiaries.** Government of India in partnership with the Reserve Bank of India has developed Aadhaar Payments Bridge (APB) payment system, which enables Central and State Ministries/Departments to transfer Government-to-Person payments in bulk by linking beneficiaries Aadhaar number with respective Program IDs. At backend, a beneficiary Aadhaar number is linked with beneficiary bank account.

74. **All programs which include cash transfer component under the Pradhan Mantri Garib Kalyan Yojna (PMGKY) are processed through the Public Financial Management System (PFMS).** The APB system shares a reconciliation report with the PFMS system which provides information such as last four digits of the bank account, name of the account, branch code, etc. of the recipient beneficiary. Currently, this information is available in public domain, however it can only be accessed through the PFMS portal and is not easily accessible to general population. Recently, Ministry of Electronic and Information Technology (MeitY) and National e-Governance Division (NeGD) has developed a Unified Mobile Application for New-age Governance (UMANG). As on date, there are total of 875 services³¹ currently live on this platform, out of which 263 are central services and 430 state services. UMANG platform allows seamless access of central and state services and enables a unified approach for citizens to avail multiple government services. UMANG is accessible through multiple channels like web, IVRS, SMS and Mobile application.

75. **Through PA # 9, the Direct Benefits Transfer Mission will integrate cash transfers within the UMANG ecosystem, which will enable citizens to easily access information related to receipt of benefits transfers from various central and state ministries/departments.** This initiative will alleviate information gaps among beneficiaries and will enable them to access their benefits. The use of mobile technology, together with disaster recovery protocols, ensure that the system is resilient and operational in the event of disruption from natural disasters. Ensuring women have better access to such mechanisms will require parallel investments in closing digital literacy and ICT-access gaps – which can be addressed through state or national investment operations.

76. **Expected Results:** In keeping with the idea of 'build back better', the reform aims to create an improved and

³¹ <https://web.umang.gov.in/web/#/>



citizen-friendly IT-enabled mechanism to access information and alerts for benefit delivery and timeliness of social protection payments.

Pillar IV: India Climate Action and Green Recovery

77. **Not only are households and firms vulnerable to economic shocks from the pandemic, communities are also contending with vulnerability to climate change.** In response, the proposed DPO includes a pillar to support core reforms to address climate change. Carbon emissions have fallen, and pollution levels are down because of the general economic slump caused by the COVID-19 pandemic, offering the chance to shape economic recovery in ways that decouple economic growth from climate change. There is now an opportunity to support green infrastructure and other development projects including renewable energy/energy efficiency investments, climate-smart buildings, green and resilient public transport, and other needed systemic shifts to slow the trajectory of rising CO₂ levels in the atmosphere. At the same time, with impending climate risks, it is critical to systematically integrate and mainstream climate adaptation responses, while helping vulnerable communities cope with extreme weather situations that disproportionately affect the poor, especially women. Investing in resilience is crucial, as disruptions are extremely costly for governments, households, and the private sector. There is now a great opportunity within these unfortunate circumstances to build back better. *Two core reforms are supported to enable green recovery and resilience – enhanced groundwater conservation norms and incentives for renewable energy use.*

Prior Action 10: *The Borrower through the Ministry of Jal Shakti, has issued Revised Guidelines for Groundwater Extraction in India which (i) introduce the concept of Water Conservation Fee (WCF) (ii) encourage use of recycled and treated sewage water by industries (iii) create provision for actions against polluting industries (iv) mandate requirement of digital flow meters, piezometers and digital water level recorders (with or without telemetry depending upon quantum of extraction) (v) mandate water audit by industries abstracting ground water 500 m³/day or more in safe and semi-critical and 200 m³/day or more in critical and over-exploited assessment units and (vi) mandate roof top rain water harvesting except for specified industries.*

Prior Action 11: *The Borrower through the Ministry of Power, has extended the waiver of inter-state transmission charges and losses on the transmission of electricity generated by solar and wind sources to encourage use of renewable energy in India.*

78. **In contrast to surface water resources, groundwater is more resilient to changing climate trends.** It serves as one of the largest reservoirs of fresh water and plays a critical role in supplying drinking water, water for irrigation, industrial use and to sustain ecosystems. Groundwater reserves being resilient to drought impact, have been a sustainable, dependable and cost-effective solution to ensure water security in the face of the emerging water crisis. However, in the recent past, there has been an increasing incidence of groundwater contamination through percolation of surface water into aquifers and changing usage pattern. Thus, it has become an imperative to protect groundwater systems and their adjacent ecosystems in conjunction with the surface water resources while adapting to climate change. In India, rainfall (monsoon and non-monsoon) contributes to 67% of groundwater recharge. Overexploitation of groundwater coupled with intensive extraction for irrigation and industrial purposes have resulted in critical groundwater management concerns in the country. Some of the major consequences of groundwater withdrawal at a rate higher than that of recharge are- depletion of water tables, saltwater encroachment, drying of aquifers, groundwater pollution, water logging and salinity.



79. To counter these challenges, and as a major step towards sustainable management of water resources in the country, the Central Ground Water Board has published a notification with groundwater abstraction guidelines to monitor and conserve groundwater resources. The DPO supports PA10 which captures the new groundwater conservation norms. As per the reform, all new or existing industries seeking expansion, infrastructure projects and mining projects will be required to seek No Objection Certificates to abstract groundwater, from the Central Ground Water Authority or the concerned state authority. Depending on the level ground water, the entire country has been categorized into over-exploited, critical and semi critical areas. Of the total 6554 assessment units, 4484 (68%) has been categorized as safe, 693 (11%) as semi-critical, 217 (3%) as critical, 1069 (16%) as over-exploited and 91 (1%) as saline. It stresses on the preparation of Water Management plans by state ground water authorities or organization of all over-exploited, critical and semi-critical assessment units. These plans are to be reviewed and updated periodically and to increase efficiency of these initiatives, groundwater abstraction charges are to be levied based on quantum of extraction by the industries, mining and infrastructure projects in safe, semi-critical and critical assessment units.

80. PA 11 focusses on expanding the use of renewable energy sources. India is the world's third largest producer and fourth largest consumer of electricity, with coal dominating about 75% of the total electricity generation. Electricity generation is the highest source of greenhouse gas emissions, accounting for more than 40% of the total emissions as per official inventories. The second reform under this pillar is a government order from Ministry of Power waives off inter-state transmission charges and losses on transmission of the electricity generated from solar and wind sources of energy to facilitate energy transition to cleaner sources and accelerate decarbonization of electricity sector.

Table 5: DPF Prior Actions and Analytical Underpinnings

Prior Actions (Update)	Analytical Underpinnings (be specific about the <i>key findings</i> informing the prior action)
Operation Pillar 1: Leveraging Pre-existing Social Protection Measures for COVID-19 relief	
Prior Action 1: The Borrower, through the Ministry of Home Affairs, has expanded the ability of state governments to provide social protection during disasters through the use of up to 50 per cent of SDRF leveraging pre-existing decentralized protocols for state governments to access financing to provide context-specific, adequate and agile safety nets.	Adaptive Social Protection: Building Resilience to Shocks. <i>Social Protection and Jobs Global Practice, World Bank, 2020</i> From Intent to Implementation: A Snapshot of India's Social Protection Response to COVID-19, <i>Bhattacharya and Roy 2020</i> Pathways to Reducing Poverty and Sharing Prosperity in India: Lessons from the Last Two Decades, <i>Poverty and Equity Global Practice, World Bank, 2016</i> India Poverty and Equity Brief, <i>Poverty and Equity Global Practice, World Bank, October 2019</i> Beaten or Broken: Informality and COVID-19, <i>South Asia Economic Focus, Fall 2020, World Bank</i> The Efficacy of Government Entitlements in Helping PL Families Navigate the Financial Impacts of COVID-19, <i>Dalberg Asia, April 15th 2020</i> White Paper on PM Garib Kalyan Yojana: Coverage, Identification and Implementation, <i>IDFC Institute, 11th April 2020</i> Social Protection Financing and COVID-19 Policy Note, <i>Centre for Policy Research, 11th April 2020</i> Social Protection and Jobs Responses to COVID-19: A Real-Time Review of Country



	Measures A “living paper”, <i>World Bank Social Protection and Jobs Global Practice</i>, v.1 March 20, 2020 Schemes to Systems: Social Protection in a Transforming India, <i>World Bank Social Protection and Jobs Practice 2019</i> Social Protection for a Changing India, <i>World Bank Social Protection and Jobs Practice 2011</i> Migration and COVID-19, <i>World Bank Social Protection and Jobs Global Practice</i>, March 31st 2020 Last-Mile Delivery Options for COVID-19 Relief in India, <i>World Bank Social Protection and Jobs Practice</i>, March 28th 2020 Data Privacy and Regulations for India COVID-19 Program, <i>World Bank Social Protection and Jobs Practice</i>, March 29th 2020
Operation Pillar 2: Protecting Workers in Essential Service Supply Chains during COVID-19 Pandemic	
Prior Action 2: The Borrower through Ministry of Health and Family Welfare, Government of India has extended a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients for additional 90 days.	Last-Mile Delivery Options for COVID-19 Relief in India, <i>World Bank Social Protection and Jobs Practice</i>, March 28th 2020
Operation Pillar 3: Improving Access and Delivery for Vulnerable Populations	
Prior Action 3: The Borrower, through the Ministry of Labour and Employment, has approved and adopted a new Social Security Code which includes the roll-out of a National Social Security Board (with online and offline interface) to ensure universal coverage for a basic package of social protection benefits, leveraging the PDS, PMJDY, e-KYC, and Aadhar infrastructure; with focus on achieving full coverage of informal workers in urban and rural areas, and a clear approach for decentralized implementation.	Leveraging Community-Based Organizations in COVID-19 Emergency Operations in India, <i>Agriculture and Environment Global Practices</i>, <i>World Bank</i> 14th April 2020 White Paper on PM Garib Kalyan Yojana: Coverage, Identification and Implementation, <i>IDFC Institute</i>, 11th April 2020 Social Protection Financing and COVID-19 Policy Note, <i>Centre for Policy Research</i>, 11th April 2020 Economic Survey of India 2016, <i>Ministry of Finance</i>, <i>Government of India</i> India's Internal Labor Migration Paradox, <i>FCI Practice</i>, <i>World Bank Policy Paper</i> 8356, February 2018 Schemes to Systems: Social Protection in a Transforming India, <i>World Bank Social Protection and Jobs Practice 2019</i> Social Protection for a Changing India, <i>World Bank Social Protection and Jobs Practice 2011</i> Migration and COVID-19, <i>World Bank Social Protection and Jobs Global Practice</i>, March 31st 2020 Last-Mile Delivery Options for COVID-19 Relief in India, <i>World Bank Social Protection and Jobs Practice</i>, March 28th 2020 Data Privacy and Regulations for India COVID-19 Program, <i>World Bank Social Protection and Jobs Practice</i>, March 29th 2020 Report of the High Level Committee on Deepening of Digital Payments, <i>Reserve</i>
Prior Action 4: : The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, Government of India has approved and adopted mission-mode roll-out of 'One-Nation-One Ration' platform for pan-national portable PDS access to support food rations for all migrants across state boundaries.	
Prior Action 5: The Borrower, through the Ministry of Housing and Urban Affairs, has issued the Operational Guidelines dated July 2020, for an Affordable Rental Housing scheme for migrant Labor and the urban poor which clearly defines rules and implementation norms.	
Prior Action 6: The Borrower through Ministry of Home Affairs, Government of India has created a National Migrants Information System which establishes a database of inter-state mobility to target and plan migrant-specific COVID-19 social assistance support at the state and national level.	
Prior Action 7: The Borrower, through the Ministry of Labour and Employment, has: (i) expanded the definition of 'inter-state' migrants to include those who do not migrate without a contractor; and (ii) mandated the creation of a decentralized portal for migrant registration, to enable portability and universal coverage for cash and social insurance benefits, through the Occupational Safety, Health and Working Conditions Code	



2020	<i>Bank of India, May 2019</i> Informal Workers in India: A Statistical Profile. August 2020. Govindan Raveendran and Joann Vanek, WIEGO
Prior Action 8: The Borrower, through the Ministry of Rural Development, has established a converged mission-mode cash for employment-support program for returning migrants in rural areas called the Garib Kalyan Rojgar Yojna Prior Action 9: The Borrower through Direct Benefits Transfer Mission, Cabinet Secretariat, has ordered the integration of DBT-related transaction in PFMS with UMANG mobile application, to allow beneficiaries of social programs to query and access information regarding electronic transfers.	Unintended Consequences of Lockdowns: Covid-19 and the Shadow Pandemic. NBER. September 2020. Ravindran, Saravana and Manisha Shah. A Mixed-Method Review of Cash Transfers and Intimate Partner Violence in Low and Middle-Income Countries. The World Bank Observer, Volume 33, Issue 2. Page 218-258. September 2018. Ana Maria Buller, Amber Peterman, Meghna Ranganathan, Alexandra Bleile, Melissa Hidrobo and Lori Heise Violence against Women as a 'Relational' Vulnerability. Naila Kabeer. UNDP Paper Series. 2014 How is economic security linked to gender-based violence? New insights from the Sexual Violence Research Initiative Forum 2019. December 2019. Amber Peterman, Shalini Roy and Meghna Ranganathan. IFPRI Men, Masculinity and Domestic Violence Against Women in Marriage: Case Studies and Analysis ICRW 2016.
Operation Pillar 4: India Climate Action Pillar	
Prior Action 10: The Borrower through the Ministry of Jal Shakti, has issued Revised Guidelines for Groundwater Extraction in India which (i) introduce the concept of Water Conservation Fee (WCF) (ii) encourage use of recycled and treated sewage water by industries (iii) create provision for actions against polluting industries (iv) mandate requirement of digital flow meters, piezometers and digital water level recorders (with or without telemetry depending upon quantum of extraction) (v) mandate water audit by industries abstracting ground water 500 m3/day or more in safe and semi-critical and 200 m3/day or more in critical and over-exploited assessment units and (vi) mandate roof top rain water harvesting except for specified industries. Prior Action 11 : The Borrower through the Ministry of Power has extended the waiver of inter-state transmission charges and losses on the transmission of the electricity generated by solar and wind sources to encourage use of renewable energy in India.	SAR Human Capital Acceleration Plan, World Bank 2020 Central Ground Water Board <i>Groundwater Yearbook India 2018-19.</i> Government of India, 2019 Climate change and water security: impacts, future scenarios, adaptations and mitigations. Kibria, G., Haroon, A. Y., & Nugegoda, D. (2016). Ministry of Jal Shakti. (2019, June 27). Vulnerable and Overexploited Areas. Government of India University of Sussex-UCL (2020, August 26). <u>Majority of groundwater stores resilient to climate change.</u> India 2020: Energy Policy Review, International Energy Agency 2020 Global Climate Risk Index 2020 Conditional cash transfers to alleviate poverty also reduced deforestation in Indonesia. Paul. J Ferraro and Rhita Simorangkir. June 2020

4.3. LINK TO CPF, OTHER BANK OPERATIONS AND THE WBG STRATEGY

81. **World Bank program in India has been being adjusted to respond to the COVID-19 crisis.** The World Bank in consultations with the Indian Government has developed a three stage COVID response strategy. The first stage has been supporting the health system to help fight the pandemic and a billion-dollar program was approved by the World Bank to support the health response. The health response has required the Government to effectively shut down large chunks of the economy for social distancing to slow the spread of the epidemic. This slowdown has displaced hundreds of millions of workers. Migrant labor and the poor -who have little or no capacity to weather loss in earnings- are severely impacted.



The second stage of the World Bank response to provide social protection to those displaced by the economic shut down, with emphasis on the poor and vulnerable, through the proposed two DPO series providing a billion dollars for social protection. The third phase of the World Bank COVID-19 response will to help revive the economy through another billion-dollar program to support Micro-small and Medium Enterprises (MSME) and possibly support the financial system on which MSME depends.

82. **While the current DPO is a direct response to the COVID-19 crisis, it is consistent with the approach of the India Country Partnership Framework (CPF)**³². A key goal of the CPF is to promote human capital investments by strengthening the coverage and coordination of state level social protection delivery systems. The CPF supports the development agenda of India through a balanced focus on what areas of intervention are critical, while also identifying pathways which outline how to engage India to 1/4 is a lot those patients have a higher risk of being from the ventilator they have a higher risk of dying before they get out of the hospital there are concerns that there is a higher risk for long term deliver results. This operation supports the CPF focus on strengthening public sector institutions and engaging a Federal India through its emphasis on decentralization. Finally, it supports a cross-cutting theme of the CPF on reducing gender-based inclusion gaps.

4.4. CONSULTATIONS AND COLLABORATION WITH DEVELOPMENT PARTNERS

83. **The proposed DPO relies on extensive consultations with Bank clients in state governments and national programs in India.** The proposed operation has benefitted from the Bank's extensive analytical work on India's social protection architecture with various academics and experts. The design incorporates lessons from engagement in several states and with the national DBT Mission on social protection reform through operations and technical support. The design also incorporates rapid reviews conducted by two national think-tanks for the World Bank. Implementation of the government program supported by this DPO series will require intensive Technical Assistance (TA) to the central and state governments. Discussions with Bill and Melinda Gates Foundation (BMGF) on a Trust Fund partnership have been completed and led to the expansion of the World Bank's TA through additional funds which shall be available throughout the DPO program period for implementation and monitoring support. KfW and Asian Development are also providing technical assistance support. To harmonize efforts and avoid duplication, a donor working group has been set up to meet regularly to coordinate and take stock of the technical assistance program.

5. OTHER DESIGN AND APPRAISAL ISSUES

5.1. POVERTY AND SOCIAL IMPACT

84. **The program's development objective is to support vulnerable groups through near-universal and portable social assistance, as it recognizes that pre-existing vulnerabilities (based on social identities) can be amplified during lockdowns and periods of social isolation.** The Bank recognizes that the COVID-19 crisis is a difficult period to address social fault lines fully and satisfactorily. Overall, the program enables states to access monies from Disaster Response Funds to provide benefits to those at risk of exclusion – thus leveraging India's federalism. The focus on portability of benefits is an important strategy to cover left-out groups. Inclusion is therefore at the heart of this program's design. A few important areas are described below:

³² India: FY18-22; Report No. 126667-IN, July 25, 2018 discussed at the Board on September 20, 2018.



85. **Gender Based Violence and Exclusion:** The global data from the WHO on Gender-Based Violence (GBV) during the COVID-19 lockdown is worrisome. Ravindran and Shah (2020)³³ have shown that districts with higher intensity of government's mandated lockdown experienced higher rates of domestic violence and cybercrime complaints during the pandemic period. Districts in which a greater proportion of spouses viewed domestic violence as justified saw larger increases in domestic violence complaints during this period. The proposed program's focus on directly transferring benefits to women is aimed at redressing the amplified gender-based vulnerabilities at this time. As per survey data collected for M&E of DPO1, between May and August 2020, nearly 72 per cent of women in the bottom 40th wealth quintile with PMJDY bank accounts received a cash transfer benefit. In the same time period, nearly 75 per cent of female-headed households received rice allocations under PDS benefits of PMGKY. Additionally, PDS provides extra food supplies to female-headed families. Of the 320 million beneficiaries of cash transfers under PMGKY, 204 million are women. Further, the fuel supply program provides benefits to the female heads of 80 million households. 60% of social pension (NSAP) recipients are women. A large body of evidence³⁴ highlights that providing cash/resources to women enhances their bargaining power, dignity and ability to exit violent households. Also, sociological evidence from India highlights that domestic violence against children/women perpetrated by men often has psycho-social roots in economic distress³⁵. The main triggers for violence are often the increased economic hardships faced by families and the outcome of the fear and anxieties that families and communities have about the future. Addressing the immediate triggers – i.e. lessening economic hardships – also has a positive effect as they lessen the risk of abuse and violence on women and children. Cash and in-kind transfers are therefore important, not only to improve women's position, but also to reduce consumption/income stress in the household. Finally, the program will continue to closely monitor data on (i) benefit receipt by gender (ii) violence through administrative data on GBV cases and parallel surveys. However, it should be noted that the ability of surveys to pick up GBV is limited due to reluctance to report by victims. By delivering majority share of benefits to women, prior actions planned under the DPO will build on the positive gender impacts of DPO1.

86. **Scheduled Tribes.** Tribal groups have the highest poverty rate in India – irrespective of consumption poverty or multi-dimensional poverty indicators. The social protection programs being leveraged for COVID-19 relief give extra weightage to tribal households (due to constitutional protections accorded to these groups) in targeting of benefits. Nearly 94 percent of scheduled tribe households have access to the PDS, 40% of employment days generated through MGNREGS are for SC/ST groups. Approximately 74 percent of scheduled tribe households accessed rice benefits under the PDS component of PMGKY. However, cash coverage has been lower. Continued monitoring of results and technical assistance at the state level, to ensure tribal communities have adequate access to benefits, will be an important area of engagement going forward. Further, all actions supporting portable benefits for migrants will help tribal communities as they constitute a large section of inter-state migrants in India.

87. **Portability and Migrant Communities:** The program aims to make India's social protection system more inclusive for migrant communities through reforms which make food, cash and social insurance programs portable. COVID-19 has been classified as a 'disaster' by the national government. This allows state governments to use funds in the State Disaster Response Funds (PA 7) to provide support to migrants. This reform has already allowed several states to leverage NGOs, self-help groups, police, educational institutes, front line workers and the PDS machinery to provide on-demand food/shelter/relief materials to migrants without seeking any proof of eligibility or registration. There is no singular

³³ Ravindran, Saravana and Manisha Shah. "Unintended Consequences of Lockdowns: Covid-19 and the Shadow Pandemic". NBER. September 2020. www.nber.org/papers/w27562.pdf

³⁴ <https://academic.oup.com/wbro/article/33/2/218/5091868> and <https://www.ifpri.org/blog/how-economic-security-linked-gender-based-violence-new-insights-sexual-violence-research>

³⁵ <https://www.icrw.org/wp-content/uploads/2016/10/Domestic-Violence-in-India-4-Men-Masculinity-and-Domestic-Violence-in-India.pdf>



national model for providing support to migrants as states have flexibility in how they manage the process. In DPO1, PMGKY provides portable shelter/food/lumpsum cash using State Disaster Response Funds. In DPO2, cash transfers will be further scaled up for migrants, near poor/vulnerable and urban poor through Trigger 1A and Trigger 7B.

88. **Personal data collection and processing risks.** The COVID-19 outbreak highlights the need to monitor and mitigate risks related to data misuse, under circumstances where measures to ensure the legitimate, appropriate and proportionate use and processing of that data may not feature in national law or data governance regulations, or be routinely collected and managed in health information systems. The portion of the Program supported under the first DPO of the series did not require the collection on new data but will exclusively rely on existing data collected by the various existing social protection programs involved. Further, for the second DPO in the series, data is only being collected for PA 6. Under this action, name, age, origin and destination district and mobile number of migrants using government transport services to return home due to the pandemic is being collected with citizen consent and signatures. The data shall not be available in identifiable form for public use. It is only stored as a dashboard for state governments to monitor flow of migrants for planning social assistance and relief activities. Mobile numbers can be made available to authorized officials for contract tracing. These data collection are regulated under existing IT acts and guidelines. However, data misuse can emerge as a risk. The team shall work closely with India CMU, civil society partners and partners to ensure that technical assistance to be provided to the social protection sector alongside this DPO series, will seek to incorporate good international practice for dealing with such data in such circumstances. Such measures include, by way of example, data minimization (collecting only data that is necessary for the purpose), data accuracy (correct or erase data that are not necessary or are inaccurate), use limitations (data are only used for legitimate and related purposes), data retention (retain data only for as long as they are necessary), informing data subjects of use and processing of data, and allowing data subjects the opportunity to correct information about them. The team is actively engaging, along with India CMU, with legal experts in India to track the Personal Data Protection Bill, which is expected to be tabled in parliament in March 2021. Further, the team shall ensure that all design recommendations pursue privacy-by-design principles leveraging federated views of data and citizen audits. It is also important to acknowledge that data privacy concerns are an important agenda in Indian politics and community-mobilization at present.

89. **This is a multi-pronged emergency relief DPO that builds on the achievements of DPO1 and reinforces the need for multiple central and state government agencies to work in consonance for outcomes that have positive poverty and social impacts and help prevent further social and economic distress.** In DPO 1, survey results show that PMGKY benefits reached a significant proportion of poorer households, especially female headed households, and that an evidence based, data driven approach worked for better targeting. DPO 2 will build on the lessons learnt from DPO 1 and focus on strengthening institutional mechanisms and making social protection delivery systems more efficient at the central and state levels covering a diverse range of interventions as indicated in the PAs. Relieving the Covid 19 triggered social and economic distress amongst the most vulnerable groups – informal workers, migrant workers and returnee migrant workers – will be at the core of the interventions for DPO2.

5.2. ENVIRONMENTAL, FORESTS, AND OTHER NATURAL RESOURCE ASPECTS

90. The program will not have any negative impact on the environment, forests and natural resources. Provision of LPG will improve community and environmental health through access to a clean fuel. It will reduce the use of firewood, and its associated indoor pollution and deforestation. As climate projections indicate the worsening of climatic conditions and resulting natural disasters, the program helps activate an adaptive social protection system by enabling use of state disaster response funds to provide fast and flexible cash support to workers and households to address the impacts of disasters triggered by climate change, thereby helping the climate adaptation agenda. The design of the social protection



prior actions promotes climate change mitigation specially Prior Actions 1 in both DPOs in the series. Under DPO 1, Prior Action 1 provided additional clean energy subsidies to the poor through Ujjwala. Under DPO 2, Prior Action 1 increases flexibility in use of national and state disaster response funds which will not only help with COVID responses but creates a flexible system which can be deployed in future climate related disasters such as floods and cyclones. Beyond the climate change elements of the social protection, this DPO also includes a climate change pillar which is now required for all India DPOs.

5.3. PFM, DISBURSEMENT AND AUDITING ASPECTS

91. A Public Expenditure and Financial Assessment (PEFA), 2010 was conducted in India by National Institute of Public Finance and Policy (NIPFP) with support from World Bank, which concluded that PFM systems are working adequately and the Country fiduciary risk is moderate. Subsequent assessments and technical work have been undertaken by the Bank at Union level in several areas such as Planning, Budgeting (program), Financial reporting (IFMIS), Public Investment Management, Chart of Accounts, Government Finance Statistics (GFS) and Financial/Performance Auditing. Following are the main strengths and weaknesses of the system:

- India has achieved a reasonably high level of fiscal transparency and the comprehensiveness of the fiscal information publicly available has improved over the years.
- Adoption of the Fiscal Responsibility and Budget Management Act (FRBM) has led to presentation of fiscal policy strategy documents and projected major fiscal indicators in the medium term. General Government budget is publicly disclosed.
- The budget documents contain relevant information on macroeconomic forecasts, fiscal deficit indicators, deficit financing sources, government borrowings and debt stock. However overall budget credibility is impacted by the absence of a hard budget constraint, thereby allowing substantial adjustments in the budget during the year through supplementary grants.
- There is scope for further strengthening budgetary preparation and approval procedures (e.g. the Budget Manual) and in the manner it is controlled.
- There is scope for unifying and improving public financial management (PFM) systems in India which are currently dis-jointed³⁶. Public expenditures may be made at the national—or, union—level, through 28 states, or 715 districts. The expenditure commitment controls are not effective and cash management is not integrated with control over commitments.
- There is a scope for further streamlining and enhancing financial rules for effective internal expenditure control. Internal audit has continued to remain a weak link in the financial management system.
- The Constitution provides for Comptroller and Auditor General of India (CAG) to act independently as a statutory auditor of Union and States. CAG provides a range of audits such as regularity (financial) audit, regularity (compliance) audit, IT audit and performance audit. The audit reports are usually made available to the public within a year from the end of the FY and is submitted to the legislature. The independence of the CAG and auditing standards are acceptable to the World Bank.

92. Public procurement is decentralized to Ministries, States and Public Sector undertakings. Public procurement is governed by General Financial Rules 2017 at Federal Level and Public Financial Rules at State Levels. Some States have promulgated Public Procurement Acts. As part of COVID -19 response, Federal Government has issued orders and instructions to streamline public procurement processes. These instructions have included designating agencies for

³⁶ An Integrated Financial Management Information System (IFMIS) incorporating systems for management of personnel database and payroll records at central government level in India does not exist.



procurement of goods for COVID response, greater use of Government e-market Portal, removal of import duties for a period to key products and ingredients and simplified tender processes. Bank is carrying out country procurement assessment using the Methodology for Assessing Public Procurement Systems (MAPS) and final report is expected in September 2020. Preliminary findings show that India has a moderately well-functioning public procurement system with islands of excellence. Over 80% of procurement is carried out through open competition procedures and use of e-procurement is mandatory and used by procuring entities throughout the country. However, the system has some weaknesses that relate to weak bidder complaint systems, long procurement cycle time from initiation to contract award, delays on contract execution and absence of strategic use of data for development and monitoring of the system.

93. *Foreign Exchange Controls:* The World Bank has reasonable assurance that the control environment for foreign exchange in the Reserve bank of India (RBI), which is the Central Bank of India, is satisfactory for the purposes of this DPO. This assessment is based on the RBI audit report and the satisfactory outcomes of other operations, which have been disbursed and managed through the RBI. The International Monetary Fund (IMF) has not carried out a Safeguard Assessment of the Central Bank (RBI) so far. As part of the preparation for this operation, the RBI's audit report and published annual financial statements for the three financial years (FY16-17, FY17-18 and FY18-19), were reviewed by the World Bank. The audit reports have a clean, unqualified opinion and was conducted by private firms of chartered accountants.

94. *Disbursement:* The proposed operation will follow the Bank's disbursement procedures for Development Policy Financing. Upon effectiveness, the borrower, that is, the GoI will submit, to the World Bank, a withdrawal application. The World Bank will disburse the U.S. dollar proceeds of the facility to the GoI's account with the RBI. This account is controlled by the Office of the Controller of Aid, Accounts, and Audit of the Department of Economic Affairs, GoI and is part of the GoI's general foreign exchange reserves. Once the amount is credited it will be added to the consolidated fund of GOI and will be available as part of the general budget proceeds. The GoI will confirm to the World Bank within 30 days, the receipt of the tranche and its credit into the consolidated fund of the India. The loan proceeds for this operation do not finance specifically agreed activities. The proceeds may be used for any general purpose, in support of the program, other than for financing excluded expenditures (as defined in the legal agreement for the operation). If any amount of the proceeds is used to finance excluded expenditures, the legal agreements will authorize the World Bank to require India to refund the amount. The amounts so refunded shall be cancelled from the loan.

Overall, the fiduciary risk of the proposed operation is rated moderate. This rating is based on the current status of PFM systems, procurement systems and Forex control environment in the country.

Use of PFMS

95. GOI makes funds available to several Central Sponsored/Sector Schemes through departmental budgets, where in resources are transferred as 'Grant in Aid' to central level autonomous, semi-autonomous institutions under the administrative control of ministries. This 'Grant in Aid' is released by line ministries in two to three instalments. Agencies submit Utilization Certificates, confirming end use of funds and seek replenishment. The treasury uses the newly developed Project Financial Management System (PFMS) platform to electronically transfer and account for payments to vendors, suppliers and staff. Considerable progress in cash management has been made in recent years with the use of PFMS for Direct Benefit Transfers to the bank accounts of program beneficiaries – covering large programs such as MNREGA, NSAP, PMAY, PAHAL – thereby improving transparency, accountability and governance in the DBT administration.

96. There exists a substantive opportunity at Union level to leverage earlier PFM reforms and further augment



revenue collection, enhance expenditure efficiency and create more headroom for undertaking larger productive investments³⁷. Till now India has not undertaken a comprehensive, coordinated PFM reform: instead, reforms have occurred as standalone reform initiatives of individual Union or state government departments. The most significant financial management reform in recent years is the expansion in the use of Direct Benefit Transfers (DBT), which has been driven from the Prime Minister's Office and supported by dedicated institution, the DBT Mission. Most states have launched PFM reforms, often in parallel, rarely in coordination with each other or with the Union. State initiatives have included measures to strengthen cash management, introduce commitment controls and most have featured investments in new Financial Management Information Systems. However, the scope for state-led reforms is also constrained by their dependence on Government of India (GoI) and Comptroller and Account General (CAG) in setting the presentation of financial statements, accounting and reporting standards, reforms in budget orientation and benchmarks for financial and fiscal transparency. World Bank is actively engaged with Fifteenth Finance Commission, Department of Expenditure and Department of Economic Affairs in helping develop the next steps in this regard.

5.4. MONITORING, EVALUATION AND ACCOUNTABILITY

97. **The program will leverage knowledge partnerships to track impacts and results.** The team has already been collaborating with knowledge partners such as JPAL, EPoD, IDFC and CPR on taking stock of India's social protection programs through ongoing Advisory Services and Analytics. These partnerships shall be critical to track impacts and implementation challenges as we move forward. The team will rely on four datasets for results : (i) Panel survey data for Results Indicators 1,2,3,6 and 7. The Bank has included PMGKY relevant questions into the dataset in partnership with the Poverty GP (ii) Administrative data on program releases and bank account transactions maintained by MoLE on beneficiaries for Results Indicator 4. (iii) Administrative data on coverage under the One Nation One Ration initiative by PDS line agency for Results Indicator 5 (iv) Administrative data from Ministry of Power on renewable energy use for Results Indicator 9.

98. **First round results from the M&E arrangements highlights how food transfers have reached the poorest, while cash delivery continues to be a challenge, and how rural access has stronger than urban.** Data shows that the PDS has provided food security to a large fraction of poorest households during the lockdown period. Seventy-six percent of households below the 40th percentile of the welfare distribution, accessed the PDS system in the months of May and June. Overall, survey data found 32 percent of households reported insufficient access to food items during these months. The PDS catered food supplies to 80 percent of these vulnerable households. The Jan Dhan cash transfers reached about 45 percent of the poorest households during May and June 2020. 76 percent of rural households enrolled in the program prior to COVID-19, received the designated transfer of Rs. 500 per month, while 63 percent of enrolled urban households received this transfer amount. These early results highlight the need to invest in dynamic systems of inclusion to cater to left-out populations, as envisaged through the Prior Actions for DPO2.

99. **As the program further develops, the team will use additional national representative sample survey data and MIS platforms maintained by the national government to record and report results.** The PMGKY program scales up in kind and cash assistance provided by five national cash transfer programs and the Public Distribution System. Each of these programs falls under the monitoring purview of the Development Monitoring and Evaluation Office of the NITI Aayog. These programs also maintain their own Management Information System (MIS) portals which report on transactions and benefit delivery. The M&E function will be further augmented through Bank Financed TA. As a method

³⁷ See WB report to Fifteenth Finance Commission - "Strengthening Public Financial Management in India – Improving Outcomes from Public Spending"



of triangulation, the national Direct Benefits Transfer mission is responsible for coordinating and developing standard operating procedures to ensure that beneficiaries are receiving their benefits in a timely manner. Currently, the DBT mission is monitoring disbursements of benefits for all programs within the DPO boundary.

100. **Information dissemination and effective grievance redressal is key to deal with the COVID-19 crisis.** Given the multiple government departments and agencies involved in the implementation of various social protection initiatives under PMGKY at the Central and State / UT Government levels, and the millions of Indians who will be impacted by the scheme(s), a large volume of grievances from various stakeholders is quite likely. Anticipating a surge in the numbers of COVID-19 related complaints, the Government of India, through its centralized grievance redressal mechanism – the Centralized Public Grievance Redress and Monitoring System (CPGRAMS; <https://pgportal.gov.in/>) has issued guidelines to all Ministries and Departments of the Government of India as well as State and UT Governments (on March 30 2020³⁸ and March 31 2020³⁹ respectively; available on <https://pgportal.gov.in/>). The guidelines require the concerned entities to – (a) designate a Nodal Officer to handle COVID-19 related public grievances, (b) Publish the name, phone number and email ID of the designated Nodal Officer on the ministry's / department's website, (c) Ensure that the concerned entity's website has a separate field in CPGRAMS to cater to COVID-19 grievances for more focused tracking, monitoring, and disposal of public grievances, (d) Considering the urgency and importance of redressal of COVID-19 grievances, the concerned entity is to prioritize for expeditious quality addressal of COVID-19 related grievances at the earliest preferably within a timeline of 3 days, (e) Accord the highest priority to COVID 19 related grievances, closely monitor redressal of COVID-19 related grievances and ensure that the most up to date status of grievance redressal is provided on their respective dashboards. The Ministry of Home Affairs (MHA) through Order No. 40-3/2020 -DM-I(A), dated March 29, 2020⁴⁰ has also set up various empowered committees under the National Disaster Management Act, 2005 to expeditiously address issues that will arise on account of the COVID-19 crisis. One such empowered committee, Empowered Committee – 10, has been constituted to deal with public grievances and suggestions concerning COVID-19. The empowered committee is multisectoral and comprise senior officials from different ministries of the Government of India.

101. **World Bank Grievance Redress.** Communities and individuals who believe that they are adversely affected by specific country policies supported as prior actions or tranche release conditions under a World Bank Development Policy Operation may submit complaints to the responsible country authorities, appropriate local/national grievance redress mechanisms, or the WB's Grievance Redress Service (GRS). The GRS ensures that complaints received are promptly reviewed in order to address pertinent concerns. Affected communities and individuals may submit their complaint to the WB's independent Inspection Panel which determines whether harm occurred, or could occur, as a result of WB non-compliance with its policies and procedures. Complaints may be submitted at any time after concerns have been brought directly to the World Bank's attention, and Bank Management has been given an opportunity to respond. For information on how to submit complaints to the World Bank's corporate Grievance Redress Service (GRS), please visit <http://www.worldbank.org/GRS>. For information on how to submit complaints to the World Bank Inspection Panel, please visit www.inspectionpanel.org. ”

6. SUMMARY OF RISKS AND MITIGATION

102. The overall risk rating of the proposed operation is “substantial” on account of substantial macroeconomic and

³⁸ File No.S-15/4/2020-DARPG (C.No.6594), Dated March 30, 2020

³⁹ File No: S-15/4/2020-DARPG (C.No.6594), Dated March 31, 2020

⁴⁰ <https://dst.gov.in/sites/default/files/MHA%20Order%20Dt.%2029.3.2020%20on%20%20Disaster%20Management%20Act%202005.pdf>



institutional capacity for implementation and sustainability. In addition, there is uncertainty regarding the extent of the impacts of the COVID-19 pandemic, and in a pessimistic scenario, the pandemic could destabilize the economy further and lead to increased mortality and morbidity. Nevertheless, despite the risk related to COVID-19, the proposed operation would likely achieve its objectives as it is designed to provide an economic lifeline to the vulnerable.

103. **The macroeconomic risk is assessed as being “substantial”.** GDP growth has slowed in the past three years, from an average of 7.4 percent between FY16 and FY19 to an estimated 4.2 percent in FY19/20. Against this backdrop of pre-existing weakness, the outbreak of COVID-19 has significantly altered the growth trajectory of the economy, which is now projected to contract sharply in FY20/21, and to recover only gradually thereafter. As a result, financial sector weaknesses (high NPAs and impaired monetary policy transmission) are expected to remain significant, especially as moratorium measures are phased out. In addition, the fiscal deficit is expected to widen significantly in FY20/21, owing partly to higher spending needs and mostly to revenue shortfalls. Fiscal consolidation is expected to be delayed relative to pre-COVID targets. States are also facing significant fiscal stress owing to revenue shortfalls, delays in GST compensation, and limited options to expand borrowing beyond FRBM limits. Thus, there are non-negligible residual risks that fiscal constraints may affect program objectives (directly or indirectly), particularly at the state level. In a context of overall fiscal stress (with total social protection expenditures amounting to a non-negligible 13 percent of budgeted expenditures for FY20/21), risks are greater for development policy loans since resources are not ringfenced, than for investment loans for which funding is earmarked to specific uses. That being said, these risks are mitigated by the fact that the program is a high priority for the administration and enjoys broad consensus across the political spectrum, and that the measures supported by the operation are core to the government’s integrated COVID response, which should help the economy sustain the immediate shock better and rebound faster in coming months.

104. **The institutional capacity for implementation and sustainability risk is substantial.** The COVID crisis brought home some of the strengths and weaknesses of India’s social protection. Strengths are e-payments, a near-universal food program as well as a large scale self-targeted employment guarantee program (MNREGA). Weaknesses are that programs cannot quickly enroll new individuals in need of benefits, and nor are benefits portable. This risk is additionally hampered by fragmentation. There are over 465 Direct Benefit Transfer schemes which provide either cash or in-kind benefits. While the policies and guidelines of centrally sponsored schemes is developed by the Union government, actual implementation (targeting, identification, etc.) is the responsibility of the State governments and Union Territories. There is adequate capacity at the Union government to guide and oversee Program implementation. The Public Financial Management System (PFMS) developed by the GOI is a fund tracking and expenditure filing system that can provide real time status of fund utilization and available funds. However, at the State level, the capacity to implement effectively varies, as there are capacity constraints which includes limitations of banking and financial service providers. Further, the nature of reforms will require a shift in organizational culture - notably in terms of increased use of analytics and delegation of decision-making – and coordination across Central Ministries, State Governments, Reserve Bank of India and Banking & Financial service providers. Within institutional risks, data privacy and ensuring data protection for citizens shall be of utmost importance (details are provided in paragraph 86). The Right to Information Act in India and existing IT acts provide protection and allow citizens to query how data was used, thereby serving as tools to mitigate data privacy risks. The Program will address these risks through Technical Assistance which will provide support to the design, implementation, and monitoring and evaluation to the Union and State governments.



Table 7: Summary Risk Ratings

Risk Categories	Rating
1. Political and Governance	● Moderate
2. Macroeconomic	● Substantial
3. Sector Strategies and Policies	● Moderate
4. Technical Design of Project or Program	● Moderate
5. Institutional Capacity for Implementation and Sustainability	● Substantial
6. Fiduciary	● Low
7. Environment and Social	● Low
8. Stakeholders	● Moderate
9. Other	● Low
Overall	● Substantial



ANNEX 1: POLICY AND RESULTS MATRIX

Prior actions and Triggers		Results		
Prior Actions Completed under DPF 1	Prior Actions for DPF 2	Indicator Name	Baseline	Target
Pillar 1 – Leveraging Pre-existing Social Protection Measures for COVID-19 Relief				
Prior Action 1: The Borrower through Ministry of Finance, Government of India has approved the Pradhan Mantri Garib Kalyan Yojana, an integrated COVID-19 social protection relief cash-transfer package which: (a) increases benefit levels for MGNREG; (b) allocates LPG and gas cylinders for below-poverty line households for three months through UJJWALA; (c) provides additional allowance for elderly, widows and disabled through the NSAP; (d) triggers cash transfers to women bank account holders under the PMJDY and (e) outlines benefit levels, implementation guidelines, fund-flow mechanism and governance rules for coordination and monitoring across multiple state governments and line ministries for roll-out of the PMGKY package.	Prior Action 1: The Borrower, through the Ministry of Home Affairs, has expanded the ability of state governments to provide social protection during disasters through the use of up to 50 per cent of State Disaster Response Funds leveraging pre-existing decentralized protocols for state governments to access financing to provide context-specific, adequate and agile safety nets.	Adequacy of benefits provided through the COVID-19 Social Protection Support Program measured by Pradhan Mantri Garib Kalyan Yojana (PMGKY) transfers as a percent share of total household consumption expenditures for the poorest quintile in India.	0 (2020)	40% (2022)
	*The current NDMA does not contain any provisions for providing social protection in times of disasters. The reform aims to re-orient the NDMA to include social security concerns in disaster management starting with COVID-19.	Coverage of benefits provided through the COVID-19 Social Protection Support Program measured by share of bottom 40 % (consumption percentiles) households receiving at least one PMGKY social assistance (food/cash) benefit.	0 (2020) ⁴¹	60% (2022)

⁴¹ Zero implies that prior to the announcement of the PMGKY package, the poor and vulnerable groups were not receiving any additional entitlements to cope with COVID-19 shocks.



Prior actions and Triggers		Results		
		Gender-sensitive program coverage measured by share of bottom 40% (consumption percentiles) households with female-head receiving at least one PMGKY social assistance (food/cash) benefit.	0 (2020)	70% (2022)
Prior Action 2: The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, Government of India has approved the provision of free food rations for a three-month period delivered under PMGKAY's public distribution system, outlining benefit levels and implementation guidelines for delivery.				
Prior Action 3: The Borrower through Ministry of Labour and Employment, Government of India has amended the Employees' Provident Fund Regulations to include pandemic as a reason to allow workers to withdraw from their Provident Fund account a non-refundable advance of 75% of the balance in the account or three months of the wages, whichever is lower.				
Prior Action 4: Under its PMGKY, the Borrower through Ministry of Labour and Employment, Government of India contributes 24% of monthly wages for low-wage workers in small and medium				



Prior actions and Triggers		Results		
enterprises ⁴² for a three months period into their Provident Fund account.				
Pillar 2 – Protecting Workers in Essential Service Supply Chains during COVID-19 Pandemic				
Prior Action 5: The Borrower through Ministry of Health and Family Welfare, Government of India has established a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients. (Included groups: Health professionals tackling COVID-19 cases, Safai karamcharis, ward-boys, nurses, ASHA workers, paramedics, technicians, doctors and specialists and other health workers would be covered)	Prior Action 2: The Borrower through Ministry of Health and Family Welfare, Government of India has extended a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients for additional 90 days.	Access to health insurance measures provided through the COVID-19 Social Protection Program measured by percentage share of essential service workers covered by the Special Health Insurance Scheme.	0 (2020)	15% (2022)
Pillar 3 – Improving Access and Delivery for Vulnerable Populations				
Prior Action 6: The Borrower through Ministry of Labour and Employment, Government of India has issued advisories to all States' government on how to use the Building and Other Construction (Workers Welfare Fund) to provide relief materials and cash to registered construction workers.	Prior Action 3: The Borrower, through the Ministry of Labour and Employment, has approved and adopted a new Social Security Code which includes the roll-out of a National Social Security Board (with online and offline interface) to ensure universal coverage for a basic package of social protection benefits, leveraging the PDS, PMJDY, e-KYC, and Aadhar infrastructure; with focus on achieving full coverage of informal workers in urban and rural areas, and a clear approach	Access to support provided through the COVID-19 Social Protection Program for informal workers measured by percentage share of informal workers receiving at least one social protection benefit. Gender-sensitive program coverage measured by proportion of female informal workers in total beneficiary pool of social protection	10% (2020)	33% (2022)
			NA (2020)	40% (2022)

⁴² Wage-earners below Rs15,000 per month in businesses having less than 100 employees.



Prior actions and Triggers		Results		
	for decentralized implementation.	in India		
Prior Action 7: The Borrower through Ministry of Home Affairs, Government of India has enabled the States' government to use finances from the State Disaster Response Funds to provide migrant workers relief materials and in-kind support, with flexibility for States in the modality of delivery.	Prior Action 4: The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, Government of India has approved and adopted mission-mode roll-out of 'One-Nation-One Ration' platform for pan-national portable PDS access to support food rations for all migrants across state boundaries.	Migrant-neutrality of India's social protection system measured as the percentage of states implementing 'One-Nation-One-Ration' for portable PDS access	0 (2020)	40% (2022)
	Prior Action 5: The Borrower, through the Ministry of Housing and Urban Affairs, has issued the Operational Guidelines dated July 2020, for an Affordable Rental Housing scheme for migrant Labor and the urban poor which clearly defines rules and implementation norms	Percentage of India's bottom 40 percent quintile in urban areas covered by at least one social protection benefit.	15% (2020)	33% (2022)
	Prior Action 6: The Borrower through Ministry of Home Affairs, Government of India has created a National Migrants Information System which establishes a database of inter-state mobility to target and plan migrant-specific COVID-19 social assistance support at the state and national level.			
	Prior Action 7: The Borrower, through the Ministry of Labour and Employment, has: (i) expanded the definition of 'inter-state'			



Prior actions and Triggers		Results		
	migrants to include those who do not migrate without a contractor; and (ii) mandated the creation of a decentralized portal for migrant registration, to enable portability and universal coverage for cash and social insurance benefits, through the Occupational Safety, Health and Working Conditions Code 2020 Prior Action 8: The Borrower, through the Ministry of Rural Development, has established a converged mission-mode cash for employment-support program for returning migrants in rural areas called the Garib Kalyan Rozgar Abhiyan			
Prior Action 8: The Borrower through Ministry of Finance, Government of India has issued guidance largely adopted by public sector banks to waive ATM charges for all cash withdrawals to facilitate access to cash and PMGKY payments.	Prior Action 9: The Borrower through Direct Benefits Transfer Mission, Cabinet Secretariat, has ordered the integration of DBT-related transaction in PFMS with UMANG mobile application, to allow beneficiaries of social programs to query and access information regarding electronic transfers.	Timeliness of cash-transfers provided through the COVID-19 Social Protection Program measured by percentage of bottom 40 quintile households who have received at least one PMGKY benefit within eight-week period of program announcement.	0 (2020)	50% (2021)



Prior actions and Triggers		Results		
Pillar 4 – India Climate Action Pillar				
	Prior Action 10: The Borrower through the Ministry of Jal Shakti, has issued Revised Guidelines for Groundwater Extraction in India which (i) introduce the concept of Water Conservation Fee (WCF) (ii) encourage use of recycled and treated sewage water by industries (iii) create provision for actions against polluting industries (iv) mandate requirement of digital flow meters, piezometers and digital water level recorders (with or without telemetry depending upon quantum of extraction) (v) mandate water audit by industries abstracting ground water 500 m3/day or more in safe and semi-critical and 200 m3/day or more in critical and over-exploited assessment units and (vi) mandate roof top rain water harvesting except for specified industries.	Improved regulatory capacity to conserve groundwater, thereby improving water security of the country in the face of climate change	No pre-existing groundwater policy with water user fees (2020)	Codification of groundwater policy with water user fees concept through government rules to state. (2022)
	Prior Action 11 : The Borrower through the Ministry of Power, has extended the waiver of inter-state transmission charges and losses on the transmission of electricity generated by solar and wind sources to encourage use of renewable energy in India.	Increase in the cumulative renewable power installed capacity in order to meet India’s NDC targets, retain India’s global position on wind and solar power and increase employment through renewable energy projects.	85.90 GW (Dec 2019)	172 GW (Dec 2022)



ANNEX 2: FUND RELATIONS ANNEX

India—Assessment Letter for the World Bank
October 13, 2020

Recent Developments, Outlook, and Risks

- 1. The growth outlook for India is weighed down by the sharp global and domestic slowdown and uncertainties from the COVID-19 pandemic.** Growth contracted sharply (-23.9 percent year-on-year) in the first quarter (April to June 2020) of FY2020/21, reflecting the severe impact of the COVID-19 pandemic and the ensuing lockdowns. The contraction in economic activity reflected weaknesses in industries and services, with construction, manufacturing, hotels, and transportation sectors suffering the most. In the October 2020 *World Economic Outlook*, growth is projected at -10.3 percent in FY2020/21 (April 2020–March 2021) and 8.8 percent in FY2021/22. Monetary and fiscal policies are expected to provide about two percentage points in support to growth this year and about one percentage point next year. The growth recovery is expected to be gradual given the continued COVID-19 spread and sustained financial sector weakness, partly offset next year by the lower base and stronger global growth. Growth over the two years is projected at -2.4 percent. Headline inflation is projected to be 4.9 percent, reflecting higher food prices and COVID-19-related supply disruptions. At the same time, inflation dynamics are expected to improve over the coming quarters, given more favorable trends in food production, gradual improvement in supply chains, and base effects. The current account is projected to show a slight surplus of 0.3 percent of GDP in FY2020/21, due to weaker domestic demand. The near-term growth outlook in India continues to be clouded by uncertainties relating to the evolution of the coronavirus pandemic.
- 2. The financial sector had already been under stress prior to the COVID-19 shock.** Defaults by nonbank financial companies in late 2018 and 2019 triggered a tightening of funding conditions in the sector, and the liquidity stress has spilled over to the rest of the financial sector. With banks still addressing the asset quality issues, credit growth slowed, especially to real estate developers and micro, medium and small enterprises, and remained weak following the onset of the pandemic. While policies including the loan moratorium and credit guarantees have provided temporary relief to corporates affected by the pandemic, asset quality pressures could emerge if the economic impact becomes protracted.
- 3. Against the backdrop of the pandemic, the balance of risks is tilted to the downside.** The main domestic risk is the continued spread of the pandemic as the health crisis has not yet been contained. Further outbreaks could require additional lockdowns, and could further disrupt the lives of many, especially the vulnerable, strain the health system, risk social tension, and adversely affect unemployment and growth. Concerns about the virus could also dampen consumer confidence and delay the economic recovery. In addition, corporate vulnerabilities could amplify the stress from the COVID-19 shock on the already strained financial sector, limiting credit provision, further delaying the recovery, and having deepening scarring effects from the prolonged recovery. External risks include intensified geopolitical tensions, a sharper-than-expected and more prolonged global slowdown, and large capital outflows that could amplify domestic financial sector stress and tighten external financing of corporates, creating a negative feedback loop.

Policy Response and Settings

- 4. In response to the pandemic, the government has announced substantial below-the-line fiscal measures and some direct spending measures.** The below-the-line fiscal measures (about 5.2 percent of GDP) are mainly in the form of loan-guarantee programs to support businesses and farmers. The direct spending measures (about 1.8 percent of GDP) are mainly in-kind transfers and income-support/employment measures to support vulnerable households. These measures, together with significant downward pressure on revenues, are expected to widen the fiscal deficit substantially this fiscal year. Recent data showed the central government's fiscal deficit rose to 4.6 percent of GDP in FY2019/20 (authorities' definition) as compared to a revised budget estimate of 3.8 percent of GDP. The general government fiscal deficit is projected to widen to 13.1 percent of GDP in FY2020/21 from an estimated 8.2 percent of GDP in FY2019/20.
- 5. Given the unprecedented shock, the focus needs to remain on a coordinated policy response to fighting the virus, preventing long-term damage to productive capacity, and providing support to small and medium-sized firms and vulnerable households.** Additional fiscal stimulus can and should be deployed as needed to support the poor and the vulnerable, accompanied by a credible medium-term fiscal consolidation plan that can reinforce market confidence and structural reforms that boost India's growth potential. Increased infrastructure spending can also play a useful role in supporting economic activity, particularly next year, while helping close infrastructure gaps and boosting India's growth potential. India's general government debt (around 70 percent of GDP in FY2019/20) is high and likely to increase considerably this year and next.¹ Over the medium term, while the growth-interest rate differential likely remains favorable, supporting debt sustainability, a comprehensive and credible consolidation plan with substantial new measures will be needed to put debt on a durable downward trajectory. While fiscal risks have increased as a result of the COVID-19 pandemic, India's public debt is denominated in domestic currency and predominantly held by residents, which contribute to a more favorable debt profile.
- 6. The Reserve Bank of India (RBI) has been on a monetary policy easing cycle since early 2019 to support a slowing economy.** Since March 27, 2020, the repo and reverse repo rates were reduced by 115 and 155 basis points (bps), respectively, to 4.0 and 3.35 percent, building on the pre-COVID easing of 135 bps, to further support the economy amid the COVID-19 shock. The RBI has maintained forward guidance of additional support if needed. Along with the easing of the policy rates and cash reserve requirement (by 100 bps), the RBI has introduced additional policy measures, such as long-term repo operations to support liquidity, and external benchmarking to reduce lending rates, along with dollar swaps for authorized dealers.
- 7. Monetary policy should maintain an accommodative stance to mitigate the impact of COVID-19 and support the recovery, with scope for some policy rate easing when recent inflationary pressures recede.** Financial sector stress prior to COVID-19 constrained monetary transmission and needs to be closely monitored. Despite measures to improve liquidity conditions, including through temporary and partial guarantees, funding pressures persist, with implications for the recovery once the shock dissipates. Exchange rate flexibility should continue to play the role as a shock absorber, while avoiding excessive volatilities.



8. The RBI has introduced several measures to ease the economic fallout of the pandemic on lenders and borrowers. The measures include delaying the implementation of the net stable funding ratio and the last phase of capital conservation buffer by six months (subsequently extended by another six months until April 2021) and confirming that countercyclical capital buffers are not activated. A moratorium was allowed until the end of August 2020 for all term loans for banks and nonbank financial companies, as well as interest deferral for working capital loans. More recently, the RBI announced a resolution framework for some corporate and personal loans and an extension of the restructuring scheme of loans to micro, small, and medium enterprises.

9. The current macroprudential stance remains appropriate, given the negative credit gap, the ongoing stress in the nonbank financial corporation sector, and the expected economic slowdown. Weaknesses in bank balance sheets (especially at public sector banks but also smaller private banks) and some corporates (e.g., the power sector), and the impact of the expected economic slowdown on asset quality, are potential sources of risks.

10. Capital flow and exchange rate pressures have moderated since April. After exceptionally large portfolio outflows in March, these flows have moderated since then, and are projected to regain momentum, led by FDI inflows in the remainder of the fiscal year. With weak domestic demand and relatively low oil prices, and thus a significant current account surplus in 2020Q2, foreign reserves reached a record high recently. The authorities have eased limits on foreign portfolio inflows, including a higher limit for foreign portfolio investment in corporate bonds and removal of restrictions on non-resident investment in specified securities issued by the central government. They have not resorted to any major capital flow measures on outflows.

11. A continued push for structural reforms is needed to achieve more inclusive and sustainable medium-term growth. The recently announced structural package—including reforms in the agriculture sector, labor market, mining sector, FDI regulations, ease of doing business, and privatization of non-strategic sectors—takes an important step in the structural reform agenda. Further, the parliament passed three agriculture bills and three labor bills in September 2020, marking a significant step in reforming the agriculture and labor markets. These measures will likely ease administrative bottlenecks, support formalization, expand social insurance, lay the path for a more efficient and integrated agriculture market, and support medium-term growth. Looking ahead, long-standing priorities include infrastructure investments, land reforms, and other labor reforms—such as increasing female labor force participation and access to finance to create more and better jobs. In addition, the public sector's role in the financial system needs to be reduced to raise credit allocation efficiency.

IMF Relations

India is on a standard 12-month Article IV consultation cycle. The 2019 Article IV consultation was concluded by the IMF's Executive Board on November 25, 2019.

India: Selected Economic Indicators, 2017/18-2022/23						
Population (2018/19): 1.33 billion						
Quota (current): SDR 13,114.4 millions/ 100 percent of quota						
Per capita GDP (2018/19 estimate): 2,038 USD						
Literacy rate (2015): 72.23%						
Poverty rate \$1.90 a day PPP (2011): 21.20%						
Main products and exports: Petroleum, chemical and primary products, business and IT services.						
Key export markets: EU, USA, United Arab Emirates, China, Singapore, and Saudi Arabia.						
FISCAL YEAR 1/	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23
			Est.	Projections		
Output						
Real GDP growth (%)	7.0	6.1	4.2	-10.3	8.8	8.0
Prices						
Inflation, CPI-Combined (%)	3.6	3.4	4.8	4.9	3.7	3.8
General government finances						
Fiscal balance (% of GDP)	-6.4	-6.3	-8.2	-13.1	-10.9	-10.0
Money and credit						
3-month Treasury bill interest rate (%)	6.2	6.2	4.4	...	...	...
Balance of payments						
Current account (% of GDP)	-1.8	-2.1	-0.9	0.3	-0.9	-1.6
Exchange rate						
REER (% change)	3.0	-3.4	6.4	...	...	...
Sources: Data provided by the Indian authorities; Haver Analytics; CEIC Data Company Ltd; Bloomberg L.P.; World Bank, World Development Indicators; and IMF staff estimates and projections.						
1/ Fiscal Year is April to March (e.g. 2020/21 = Apr-2020 - Mar-2021).						



ANNEX 3: LETTER OF DEVELOPMENT POLICY

तरुण बजाज, आई ए एम
सचिव
Tarun Bajaj, IAS
Secretary



भारत सरकार
वित्त मंत्रालय
आर्थिक कार्य विभाग
Government of India
Ministry of Finance
Department of Economic Affairs

DO No. 07/07/2020/Infra & Rural
November 5, 2020

Dear Mr Malpass,

I thank the World Bank Group, for announcing financial assistance of US\$ 14 billion for COVID response. India has already signed a loan of US\$ 1 billion with World Bank for Covid-19 Emergency Health Response under this Fast Track Facility. My department is working closely with the World Bank country office for finalising an assistance of US\$ 400 million for social protection DPL-2 under PM Garib Kalyan Yojana (PMGKY) to follow the first DPL of \$750 million.

2. The pandemic and the resultant economic downturn threaten to unravel the progress made by the emerging economies in fighting poverty. The economic slowdown will particularly affect the security and livelihood of the poor and vulnerable people. Under the leadership of our Prime Minister Shri Narendra Modi, India is taking decisive steps to alleviate the impact.

3. Government of India has earmarked an amount of US\$ 23 billion (approx.) for the welfare package involving support in the form of transfers in cash and kind (grains, pulses and fuel) to poor and vulnerable. These measures were targeted with direct and quick transfer of funds to beneficiary accounts, made possible by reforms including financial inclusion, Direct Benefit Transfer platforms and digital transfers.

4. The Government has also taken measures to ensure full portability of benefits for the poor migrant workers, regardless of their location through reforms such as "one nation one ration card" scheme, inter-state migrant portal and changes in social security law to bring migrant and informal sector workers under a new consolidated platform for social protection.

5. We have also enabled states to use State Disaster Response Funds to provide social protection with localized approaches. Further, we are pleased to see the Climate Action pillar in the proposed Development Policy Operation.

Contd....

कमरा नं 130, नॉर्थ ब्लॉक, नई दिल्ली - 110001 / Room No. 130, North Block, New Delhi - 110 001
Phone : +91-11-23092611 Fax : +91-11-23094075 Email : secy-dea@nic.in Website www.finmin.nic.in

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6. Given the fiscal constraints in the wake of COVID pandemic, we look forward to financial and technical support from the World Bank to strengthen our efforts for social protection. In particular, we look forward to the second Development Policy Loan from the World Bank to support our social protection initiatives.

7. Let me also convey that I had a very fruitful meeting with Mr Axel, MD Operations (WBG) recently and look forward to not only carrying forward but also strengthening our mutual relationship.

With Warm Regards,

Yours sincerely,

[Signature]
(Tarun Bajaj)

HE Mr. David Malpass
President
World Bank Group
Washington DC
USA.



ANNEX 4: ENVIRONMENT AND POVERTY/SOCIAL ANALYSIS TABLE

Prior Actions/Triggers	Significant positive or negative environmental effects	Significant poverty, social or distributional effect positive or negative
Pillar 1 – Leveraging Pre-existing Social Protection Measures for COVID-19 relief		
Prior Action 1: The Borrower, through the Ministry of Home Affairs, has expanded the ability of state governments to provide social protection during disasters through the use of up to 50 per cent of State Disaster Response Funds leveraging pre-existing decentralized protocols for state governments to access financing to provide context-specific, adequate and agile safety nets.	Positive This action will not only for more flexible localized approaches to support people affected during the COVID-19 shutdown but also, the same flexibility will allow effective locally tailored responses to climate change induced local disasters such as floods, cyclones and coastal flooding.	Positive Strengthening the ability of state governments to provide agile social protection assistance to target beneficiaries and incorporating community driven approaches to strengthen delivery of social protection assistance is likely to have a positive social impact. However, targeting the distribution of social protection assistance and ensuring that there are no advertent or inadvertent exclusions is critical. It needs to be ensured that <i>inclusion</i> is at the core of the planning and delivery of such assistance.
Pillar 2 – Protecting Workers in Essential Service Supply Chains during COVID-19 Pandemic		
Prior Action 2: The Borrower through Ministry of Health and Family Welfare, Government of India has extended a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients for additional 90 days.		Positive. Public healthcare providers including community health workers, who may have to be in direct contact and care of COVID-19 patients and who may be at risk of being impacted by this are covered under the Insurance scheme.
Pillar 3 – Improving Access and Delivery for Vulnerable Populations		
Prior Action 3: The Borrower, through the Ministry of Labour and Employment, has approved and adopted a new Social Security Code which includes the roll-out of a National Social Security Board (with online and offline interface) to ensure universal coverage for a basic package of social protection benefits, leveraging the		Positive This action will address the missing middle in the Indian economy who neither have access to formal social insurance nor are they eligible for pensions for the poor. This includes most of the informal



PDS, PMJDY, e-KYC, and Aadhar infrastructure; with focus on achieving full coverage of informal worker, with focus on vulnerable urban populations and occupations, and a clear approach for decentralized implementation.		sector including those in the Gig economy where India is experiencing the largest employment growth. This will also help migrant workers including rural to rural migrants.
Prior Action 4: The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, Government of India has approved and adopted mission-mode roll-out of 'One-Nation-One Ration' platform for pan-national portable PDS access to support food rations for all migrants across state boundaries.		Positive. A pan India portable PDS access is likely to help millions of people below the poverty line to access food rations easily across the country. The possibility of ration cards being duplicated and misused, and creation of black-markets in food rations distributed through the PDS thereby distorting the intended distributional benefits of the scheme are two major risks that need to be factored into the scheme and monitored on a regular basis.
Prior Action 5: The Borrower, through the Ministry of Housing and Urban Affairs, has issued the Operational Guidelines dated July 2020, for an Affordable Rental Housing scheme for migrant Labor and the urban poor which clearly defines rules and implementation norms	No significant environmental effect expected as no construction is expected.	Positive The COVID lockdown also amplified the need for safe and upgraded shelter for informal urban workers in low income settlements. Their earnings do not allow to get better housing in these expensive metro areas—thereby making the option of secure housing made available through the program an important instrument of social protection. An affordable rental housing scheme will benefit millions of urban poor (a large section of which includes migrant workers) through increased savings which can be put to other uses. However, the risk of elite capture and / or control of facilities created through these schemes, the affordable housing units being



		used for purposes other than housing, inadvertent creation of a category of slum lords for these units, provision of adequate services (health, solid and liquid waste management, education / creches, etc., safety and security of women residing in the tenements created, etc.) are some of the risks that need to be factored in and mitigated through clear implementation guidelines.
Prior Action 6: The Borrower through Ministry of Home Affairs, Government of India has created a National Migrants Information System which establishes a database of inter-state mobility to target and plan migrant-specific COVID-19 social assistance support at the state and national level.		Positive. The national migrants' information system will enable easy identification of migrant workers needing social assistance support and delivery of the same. However, there the risks of data privacy, inadvertent inclusion and / or exclusion of the most vulnerable, elite capture of benefits, etc. are high. The processes adopted towards creation of the NMIS need to factor in and address these risks.
Prior Action 7: The Borrower, through the Ministry of Labour and Employment , has: (i) expanded the definition of 'inter-state' migrants to include those who migrate without a contractor; and (ii) mandated the creation of a decentralized portal for migrant registration, to enable portability and universal coverage for cash and social insurance benefits, through the Occupational Safety, Health and Working Conditions Code 2020		Positive. This recognition will allow the workers to assert their rights and also access benefits to which they are entitled.
Prior Action 8: The Borrower, through the Ministry of Rural Development, has established a converged mission-mode cash for employment-support program for returning migrants in rural areas called the Garib Kalyan Rojgar Abhiyaan		Positive The mission-mode employment support program for returning migrants will ensure that returning migrants are productively engaged and paid for work done in and around the respective villages in which they live. The risk of



		exclusion of eligible returnee migrants on account of the political economy and other social dynamics of the places to which the migrant workers are returning to need to be analyzed and factored into the planning and delivery mechanisms of the schemes.
Prior Action 9: The Borrower through Direct Benefits Transfer Mission, Cabinet Secretariat, has ordered the integration of DBT-related transaction in PFMS with UMANG mobile application, to allow beneficiaries of social programs to query and access information regarding electronic transfers.		Positive Experience from the first phase of the response showed many who had received benefits were unaware that the funds they needed were sitting in their Bank accounts.
Prior Action 10: The Borrower through the Ministry of Jal Shakti, has issued Revised Guidelines for Groundwater Extraction in India which (i) introduce the concept of Water Conservation Fee (WCF) (ii) encourage use of recycled and treated sewage water by industries (iii) create provision for actions against polluting industries (iv) mandate requirement of digital flow meters, piezometers and digital water level recorders (with or without telemetry depending upon quantum of extraction) (v) mandate water audit by industries abstracting ground water 500 m3/day or more in safe and semi-critical and 200 m3/day or more in critical and over-exploited assessment units and (vi) mandate roof top rain water harvesting except for specified industries.	Positive Creates regulatory regime for protecting groundwater	
Prior Action 11 : The Borrower through the Ministry of Power has extended the waiver of inter-state transmission charges and losses on the transmission of the electricity generated by solar and wind sources to encourage use of renewable energy in India.	Positive Reduces carbon emissions	



ANNEX 5: CLIMATE CO-BENEFITS

Climate Change Vulnerability Context

India has the largest rate of groundwater depletion in the world⁴³. More than 600 million people in India are facing acute water shortages. Critical groundwater resources, which account for 40% of our water supply, are being depleted at unsustainable rates. Droughts are becoming more frequent, creating severe problems for India's rain-dependent farmers (~53% of agriculture in India is rainfed). Increasing water table decline and ensuing scarcity is now threatening food production and rural livelihoods. More than half of the agricultural sector depends on irrigation from wells, this further impact food security for the country. Where water is available, it is likely to be contaminated (up to 70% of India's water supply), resulting in nearly 200,000 deaths each year⁴⁴. Increased temperatures and reduced precipitation accompanied by socio-economic factors like growing populations, increasing urbanization and rapid economic development have translated into demand for water outstripping supply in many areas and into growing inter-sectoral competition for available water. Demand for water is projected to nearly double by 2050, rising in all sectors, particularly in the industrial and domestic sectors, placing pressure on agriculture.

Industrial requirements and a perpetual building boom together with the urban transition put further stress on insufficiently managed groundwater resources. Freshwater scarcity is pushing farmers to cities that are already facing enormous problems with water supply and sanitation services. Inefficient resource use also causes negative environmental impacts such as loss of arable land and biodiversity, declining groundwater tables and pollution of water resources. With about 25 million tube wells, groundwater economy uses about almost a quarter of the energy produced in the country, thus a key source of GHG emissions. More irregular and intense rainfall patterns are also altering the groundwater recharge potential. Considering the strategic importance of aquifers for storage, the regulation of India's groundwater resources is badly in need of reform. Strengthening the institutional framework for groundwater management, especially in the context of climatic shifts, will increase water efficiency and enhance the use of this critical resource. This will create flow on impacts at water use points, such as agriculture improvements that then enhance food security. Such improvements will strengthen rural economies and play an important role in the post-pandemic economic recovery.

India suffered an economic loss of USD 79.5 billion due to climate related disasters in the last 20 years. Disaster risk in India is also driven by its social vulnerability. India's vulnerability ranking is driven by its high levels of socioeconomic deprivation. The adverse impacts of these disasters are severely felt by individuals and communities, mainly in the form of loss of life and livelihood. The extent of disruption caused to the socioeconomic life of individuals depends on their existing vulnerabilities and the nature of their occupation. For instance, the impacts of 2019 cyclone Fani in Orissa were felt across various sectors and livelihoods amounting to USD 3.5 billion. A huge number of crops, livestock and trees perished while the traditional fishing community was severely affected and with the damaged fishing harbors and landing centers, the fishermen were left with no alternate source of livelihood.

Climate change impacts, including increased temperature, changing rainfall patterns, sea-level rise and desertification, are quickly becoming a significant driver of migration. These impacts are also being felt in Indian cities, alongside the stress of growing populations. Vulnerability of urban migrant workers is driven by weak family ties and social networks, livelihood insecurity, insecure housing, inadequate water and sanitation facilities, and ineffective social protection schemes.

⁴³ https://watergovernance.org/wp-content/uploads/2015/06/2013_No3_Groundwater_Governance_India.pdf

⁴⁴ Source: WHO Global Health Observatory



Adaptive social protection will be used to address the threats that climate change presents to migrant workers' health in India. Adaptive social protection in India aligns itself with the countries climate risks by combining elements of social protection, disaster risk reduction and climate change adaptation into programmes and projects. This is done to ensure programs effectively engage the resilience needs of the poorest and most vulnerable.

Social protection is a crucial mechanism for providing safety nets to vulnerable populations through schemes and systemic interventions. The demand for the instruments of social protection becomes especially critical in the times of crisis like natural calamities, pandemics and climate-induced shocks. It is expected to continue across India due to climate change. Due to this fact these mechanisms for providing social security to vulnerable populations have been designed with a long-term view to ensure they are long lasting and can meet future demands, climate change shocks.

Table: Prior Action-wise Adaptation and Mitigation Climate Actions

Prior Actions	Adaptation Actions	Mitigation Actions
PA1: The Borrower, through the Ministry of Home Affairs, has expanded the ability of state governments to provide social protection during disasters through the use of up to 50 per cent of SDRF leveraging pre-existing decentralized protocols for state governments to access financing to provide context-specific, adequate and agile safety nets.	<i>Vulnerability Context:</i> India spends over 2% of its GDP on its core safety net programs which have certainly improved the conditions of the beneficiaries but have not reached their full potential. Social protection is a crucial mechanism for providing safety nets to vulnerable populations through schemes and systemic interventions. The demand for the instruments of social protection becomes especially critical in the times of crisis like natural calamities, pandemics and climate-induced shocks. <i>Intent to address identified vulnerabilities:</i> The SDRF can now be used to provide staggered cash support during any disaster leveraging the same protocols. COVID-19 was notified as a 'disaster' in India –therefore India's disaster management protocols now have a window for cash assistance to impacted households. This did not exist prior to the reform through PA1 as the focus was on physical infrastructure and rehabilitation. <i>Explicit link between identified climate change risks and specific project activities:</i> The use of the financing in the SDRF for state level scalable and adaptive social protection assistance (Prior Action 1 in DPO2) at the time of disasters and contingencies such as pandemics is an important step in building a more climate responsive social protection system in India.	
PA2: The Borrower through		



Ministry of Health and Family Welfare, Government of India has extended a special health insurance scheme for health workers providing essential care/medical services to COVID-19 patients for additional 90 days.		
PA3: The Borrower, through the Ministry of Labour and Employment, has approved and adopted a new Social Security Code which includes the roll-out of a National Social Security Board (with online and offline interface) to ensure universal coverage for a basic package of social protection benefits, leveraging the PDS, PMJDY, e-KYC, and Aadhar infrastructure; with focus on achieving full coverage of informal workers in urban and rural areas, and a clear approach for decentralized implementation.	<i>Vulnerability Context:</i> As migrant workers have weak family ties and social networks, livelihood insecurity, insecure housing, inadequate water and sanitation facilities, and ineffective social protection schemes, they are increasingly more vulnerable to climate risks. As part of India's effort to address this the country is aiming to achieve full coverage of informal workers to ensure these population can access social protection in times of disasters. <i>Intent to address identified vulnerabilities:</i> The Code mandates the creation of an integrated database of informal workers for delivering benefits. This data infrastructure can be used to scale social assistance during any future crises. <i>Explicit link between identified climate change risks and specific project activities:</i> Measures directed towards approval and adoption of new Social Security Code will enhance community resilience in the long-term by creating a centralized database of vulnerable population with focus on achieving full coverage of informal workers in urban and rural areas, which can be targeted in case of any future climatic or disaster event.	
PA4: The Borrower through Ministry of Consumer Affairs, Food and Public Distribution, Government of India has approved and adopted mission-mode roll-out of 'One-Nation-One Ration' platform for pan-national portable PDS access to support food rations for all migrants across state	<i>Vulnerability Context:</i> Climate change creates a multitude of critical issues one of which is large-scale human migration due to resource scarcity, increased frequency of extreme weather events, and other factors. This intensifies intra- and inter-state competition for food, water, and other resources as that these resources are already under pressure from climate change and internal population growth, particularly for migrant workers. Low-income and other vulnerable	



boundaries.	populations such as migrant labour are impacted most severely due to climate change. <i>Intent to address identified vulnerabilities:</i> The ONOR initiative is being tracked and measured by the Bank team's M&E efforts and the aim is to inform implementation and design more disaster sensitive supply of food support and planning. <i>Explicit link between identified climate change risks and specific project activities:</i> The activities listed under this prior action will enhance food security of migrant workers and other vulnerable groups and provide resources to address their needs post any disaster event. Such reform in the food subsidy system will not only be beneficial to tackle food security concerns from the COVID-19 crisis, but also puts in place a response capacity which can be rapidly scaled up to address the need of vulnerable groups in any future shocks, including those from climate-related natural disasters.	
PA5: The Borrower, through the Ministry of Housing and Urban Affairs, has issued the Operational Guidelines dated July 2020, for an Affordable Rental Housing scheme for migrant Labor and the urban poor which clearly defines rules and implementation norms.	<i>Vulnerability Context:</i> Low-income and other vulnerable populations such as migrant labour are impacted most severely due to climate change. This is because these populations tend to live more frequently in the kinds of places that are most likely to be impacted by climate change and disaster events; for example, in low lying areas that are particularly susceptible to flooding. Moreover, low-income and other vulnerable populations are less likely than others to be able to quickly recover from disasters. <i>Intent to address identified vulnerabilities:</i> The issued operational guidelines for Affordable Rental Housing Complexes (ARHCs) ensures disaster-resilient construction of these new housing structures. Ministry of Housing and Urban Affairs (MoHUA) also has provisioned for an additional grant in the form of Technology Innovation Grant (TIG) to facilitate adoption of innovative, sustainable, eco-friendly and disaster-resilient technologies and building materials for construction of these houses.	



	<i>Explicit link between identified climate change risks and specific project activities:</i> This prior action will actively address the climate impacts of both existing and new affordable housing stock for migrant labour and the urban poor, hence building resilience by providing disaster-resilient and climate-friendly ARHCs. These reforms allow for a pathway for India's social protection system to become portable and migrant friendly. Holistically, these reforms shall ensure migrants have access to food, cash and housing support in urban areas.	
PA6: The Borrower through Ministry of Home Affairs, Government of India has created a National Migrants Information System which establishes a database of inter-state mobility to target and plan migrant-specific COVID-19 social assistance support at the state and national level.	<i>Vulnerability Context:</i> Climate change impacts, including increased temperature, changing rainfall patterns, sea-level rise and desertification, are quickly becoming a significant driver of migration. Low-income and other vulnerable populations such as migrant labour are impacted most severely due to climate change. Education levels, skills training and job security all affect migrants' vulnerability. <i>Intent to address identified vulnerabilities:</i> The database of inter-state mobility will facilitate, design and implement adaptive social protection strategies across the cities. The database is expected to increase coverage of social protection amongst informal workers, particularly in urban areas without access to self-targeting rural programs such as MGNREGS, UJJWALA, NSAP, etc. This database can be further used to disseminate information climate change impacts and how to prevent or prepare for them. The data will be maintained in anonymized form to adhere to personal data protection measures and safeguards in India. It has already been used to plan public works and recovery initiatives. The aim is to build a system using this database that can be used for future climate or disaster events. <i>Explicit link between identified climate change risks and specific project activities:</i> The	



	registration of migrant workers with National Migrants Information System will build climate change resilience and facilitate strict implementation and monitoring of the Inter-State Migrant (ISM) Act. These reforms allow for a pathway for India's social protection system to become portable and migrant friendly. Holistically, these reforms shall ensure migrants have access to food, cash and housing support in urban areas.	
PA7: The Borrower, through the Ministry of Labour and Employment, has: (i) expanded the definition of 'inter-state' migrants to include those who do not migrate without a contractor; and (ii) mandated the creation of a decentralized portal for migrant registration, to enable portability and universal coverage for cash and social insurance benefits, through the Occupational Safety, Health and Working Conditions Code 2020	<i>Vulnerability Context:</i> Climate change impacts, including increased temperature, changing rainfall patterns, sea-level rise and desertification, are quickly becoming a significant driver of migration. Low-income and other vulnerable populations such as migrant labour are impacted most severely due to climate change. Education levels, skills training and job security all affect migrants' vulnerability. <i>Intent to address identified vulnerabilities:</i> Decentralized portals will allow the government to trigger additional support to workers/communities in specific regions during a climate shock as it integrates an e-payments system. The portal provides details of already identified vulnerable population (done through registration of migrants), which is portable and accessible across the country. Timely cash transfers by the government in case of a climatic or disaster shock will help these migrants not only for emergency relief, but also in the recovery and rebuilding phase. Therefore, building their resilience by helping them not become trapped in a cycle of poverty and reduce the exposure to future shocks. <i>Explicit link between identified climate change risks and specific project activities:</i> These reforms allow for a pathway for India's social protection system to become portable and migrant friendly. Holistically, these reforms shall ensure migrants have access to food, cash and housing support in urban areas.	



PA8: The Borrower, through the Ministry of Rural Development, has established a converged mission-mode cash for employment-support program for returning migrants in rural areas called the Pradhan Mantri Garib Rozgar Abhiyan	<i>Vulnerability Context:</i> Climate change impact on migration is through increases in the frequency and intensity of weather and climate risks. These climate-related risks can be sudden-onset events (e.g. tropical storms, heavy rains, floods and droughts) or slow-onset ones (e.g. sea-level rise, salinization and desertification). Migration in the context of climate change has multiple causes. The combination of climate-related risks with socioeconomic drivers increases the vulnerability of agriculture, leads to loss of livelihoods and triggers migration. <i>Intent to address identified vulnerabilities:</i> The cash-for work-programs contributes to improved natural resource management, including climate change adaptation outcomes, by generating employments in resilience-building public works including water conservation, watershed management, improvement of rural irrigation infrastructure, community disaster preparedness etc. <i>Explicit link between identified climate change risks and specific project activities:</i> The adaptation strategies of migrant workers for climatic events and natural hazards are deeply embedded within those strategies that help them to deal with their day-to-day livelihood struggles. These strategies are often adjusted forms of adaptation. The activities defined under MGNREGS cash-for-work programs builds afforestation, water conservation and local irrigation assets. Therefore, increasing climate resilience of people employed and assets build.	
PA9: The Borrower through Direct Benefits Transfer Mission, Cabinet Secretariat, has ordered the integration of DBT-related transaction in PFMS with UMANG mobile application, to allow beneficiaries of social programs	<i>Vulnerability Context:</i> The convergence of climatic risks with other socioeconomic stressors increase vulnerability of people and contributes to the loss of livelihoods. Social protection is a crucial mechanism for providing safety nets to vulnerable populations through schemes and systemic interventions. The demand for the instruments of social protection becomes	



to query and access information regarding electronic transfers.	especially critical in the times of crisis like natural calamities and pandemics. <i>Intent to address identified vulnerabilities:</i> The use of mobile technology, together with disaster recovery protocols, ensure that the benefit transfer system is resilient and operational in the event of disruption from climate-related natural disasters. The same protocols, and lessons learned, from the integration of DBT-related transaction in PFMS with UMANG mobile application to allow beneficiaries of social programs to query and access information regarding electronic transfers can be transferred to improve benefit delivery standards and information campaigns during future responses to climate-related shocks. <i>Explicit link between identified climate change risks and specific project activities:</i> Activities defined under this prior action strengthens the climate resilience of social protection benefit transfers system through the use of mobile technology.	
PA10: The Borrower through the Ministry of Jal Shakti, has issued Revised Guidelines for Groundwater Extraction in India which (i) introduce the concept of Water Conservation Fee (WCF) (ii) encourage use of recycled and treated sewage water by industries (iii) create provision for actions against polluting industries (iv) mandate requirement of digital flow meters, piezometers and digital water level recorders (with or without telemetry depending upon quantum of extraction) (v) mandate water audit by industries abstracting ground water 500 m3/day or more in safe and semi-critical and 200 m3/day or more in	<i>Vulnerability Context:</i> India is more dependent on water pumped from aquifers than any other nation as it accounts for about a quarter of global demand for groundwater. About 80 percent of Indians depend on groundwater for both drinking and irrigation. Increased variability in precipitation and more extreme weather events caused by climate change can lead to longer periods of droughts and floods, which directly affects availability and dependency on groundwater. In long periods of droughts there is a higher risk of depletion of aquifers, especially in case of small and shallow aquifers. Where water is available, it is likely to be contaminated (up to 70% of India's water supply), resulting in nearly 200,000 deaths each year. Even in the diminishing number of regions where groundwater supplies are still adequate for drinking and irrigation, most aquifers are contaminated. Three quarters of India's groundwater supplies contain fluoride at levels in	



critical and over-exploited assessment units and (vi) mandate roof top rain water harvesting except for specified industries.	much higher concentrations than WHO safety limits. Aquifers beneath 387 of India's 676 geographic regions also contain hazardous concentrations of one or more of these other contaminants – pesticides, arsenic, chromium, lead, cadmium, and nitrates. The management of groundwater resources has policy implications outside of the water sector, including agriculture and food security, energy, human health, and sustainable ecosystems. <i>Intent to address identified vulnerabilities:</i> As per the new groundwater conservation reform, all new or existing industries seeking expansion, infrastructure projects and mining projects will be required to seek No Objection Certificates to abstract groundwater, from the Central Ground Water Authority or the concerned state authority. Depending on the level ground water, the entire country has been categorized into over-exploited, critical and semi critical areas. It also stresses on the preparation of Water Management plans by state ground water authorities or organization of all over-exploited, critical and semi-critical assessment units. These plans are to be reviewed and updated periodically and to increase efficiency of these initiatives, groundwater abstraction charges are to be levied based on quantum of extraction by the industries, mining and infrastructure projects in safe, semi-critical and critical assessment units. The water Conservation Fee (WCF) reduces inefficient use of water in water-stressed regions and promotes water efficiency. All industries shall be required to adopt latest water efficient technologies so as to reduce dependence on ground water resources. Industries which are likely to pollute ground water (chemical, pharmaceutical, dyes, pigments, paints, textiles, tannery, pesticides/ insecticides, fertilizers, slaughter house, explosives etc.) are required to store the harvested rain water in surface storage tanks for use in the industry. Injection of treated/ untreated waste water into aquifer system is strictly prohibited	
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	and industries which are likely to cause ground water pollution (as per CPCB list) need to undertake necessary well head protection measures to ensure prevention of ground water pollution. These measures will help increase water-use efficiency and reduce water pollution for industries. <i>Explicit link between identified climate change risks and specific project activities:</i> Deterring industrial activity in overexploited areas has the potential to replenish the aquifers, utilize the available groundwater for irrigation and domestic use and reduce groundwater contamination by industries. The revised guidelines for groundwater extraction in India enhance water availability by ensuring resources that would otherwise be polluted/unusable are available, most importantly in critical areas. This carries double benefits in the form of increased farm productivity and improved health of water resources.	
PA11: The Borrower through the Ministry of Power has extended the waiver of inter-state transmission charges and losses on the transmission of the electricity generated by solar and wind sources to encourage use of renewable energy in India.		The government order from Ministry of Power waives off inter-state transmission charges and losses on transmission of the electricity generated from solar and wind sources of energy to facilitate energy transition to cleaner sources and accelerate decarbonization of electricity sector. Waiving of interstate transmission charges and losses in the renewable energy sector will also reduce the financial hardships faced by the developers and widen the space for the creation of green jobs for unskilled workers and technicians.